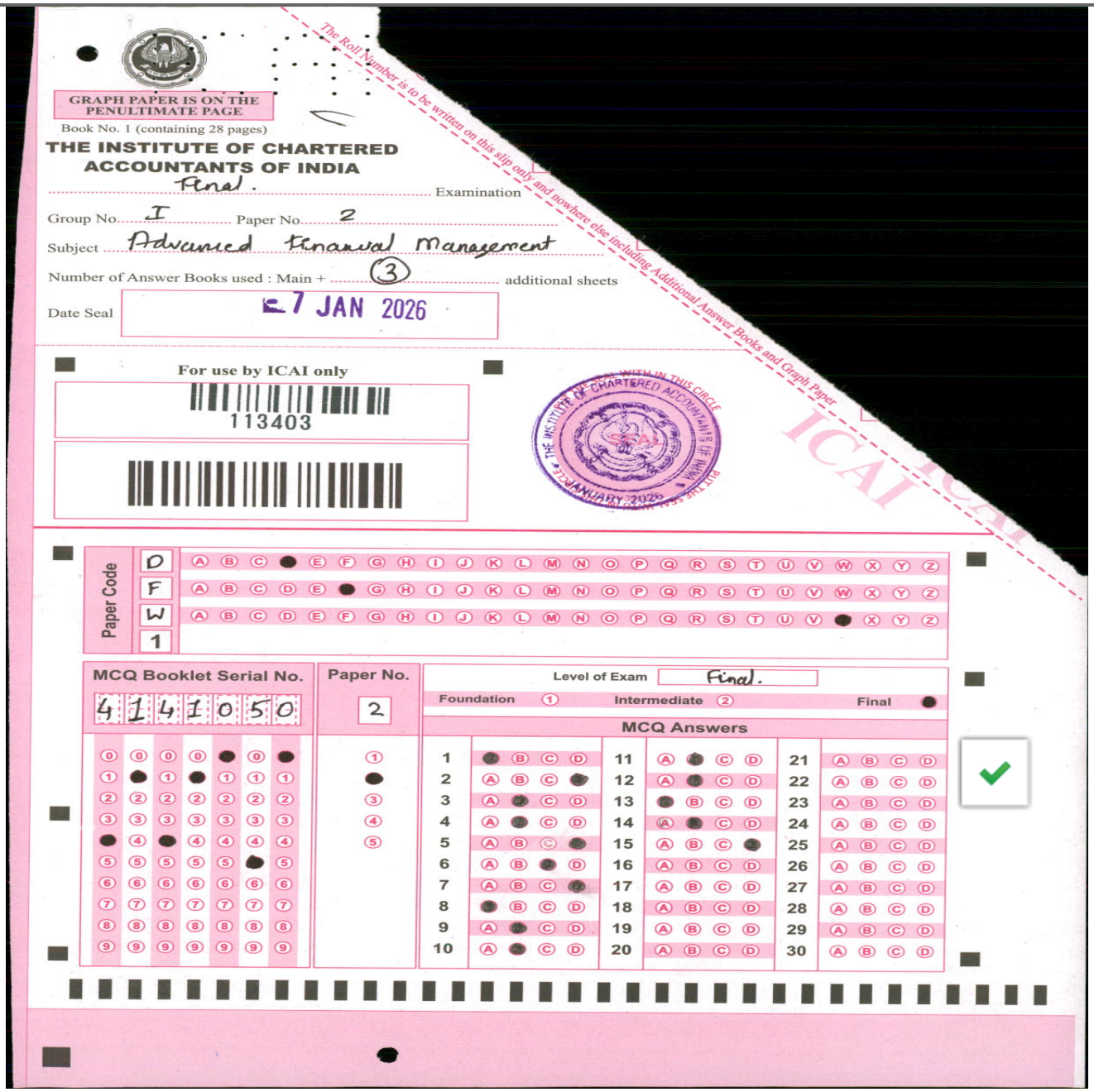
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Code:	**FN2AF113403**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**47**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final. Examination

Group No. I Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + (3) additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper.

For use by ICAI only

113403

Paper Code: D F W 1

MCQ Booklet Serial No. 4141050

Paper No. 2

Level of Exam: Final.

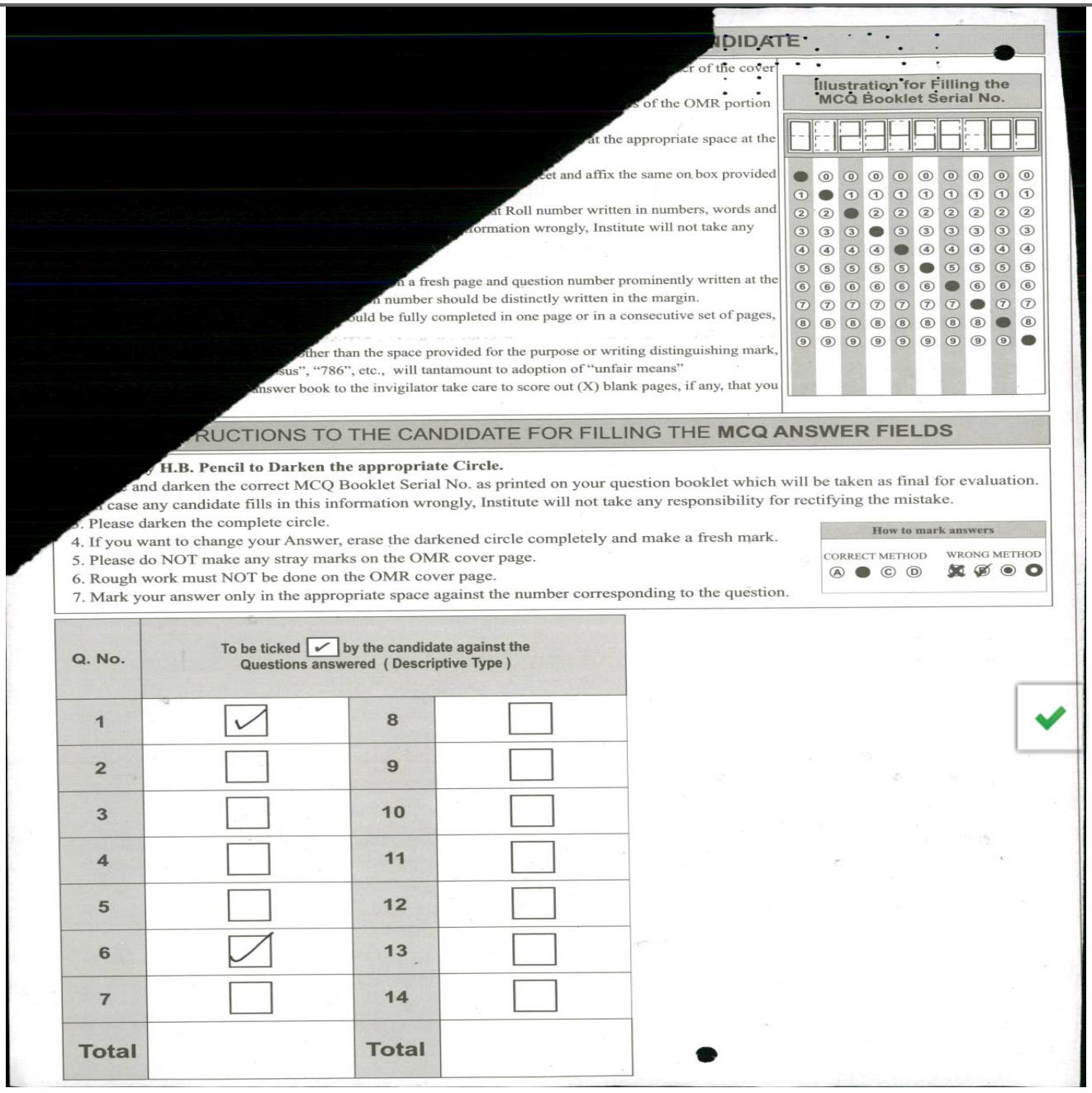
Foundation (1) Intermediate (2) Final ●

MCQ Answers

1	●	11	A ● C D	21	A B C D
2	A B C ●	12	A ● C D	22	A B C D
3	A ● C D	13	● B C D	23	A B C D
4	A ● C D	14	A ● C D	24	A B C D
5	A B C ●	15	A B C ●	25	A B C D
6	A B ● D	16	A B C D	26	A B C D
7	A B C ●	17	A B C D	27	A B C D
8	● B C D	18	A B C D	28	A B C D
9	A ● C D	19	A B C D	29	A B C D
10	A ● C D	20	A B C D	30	A B C D

The Institute of Chartered Accountants of India

Code: FN2AF113403 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 47



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nswer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

H.B. Pencil to Darken the appropriate Circle.

and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

5. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2		9	
3		10	
4		11	
5		12	
6	✓	13	
7		14	
Total		Total	

03

Que - 6

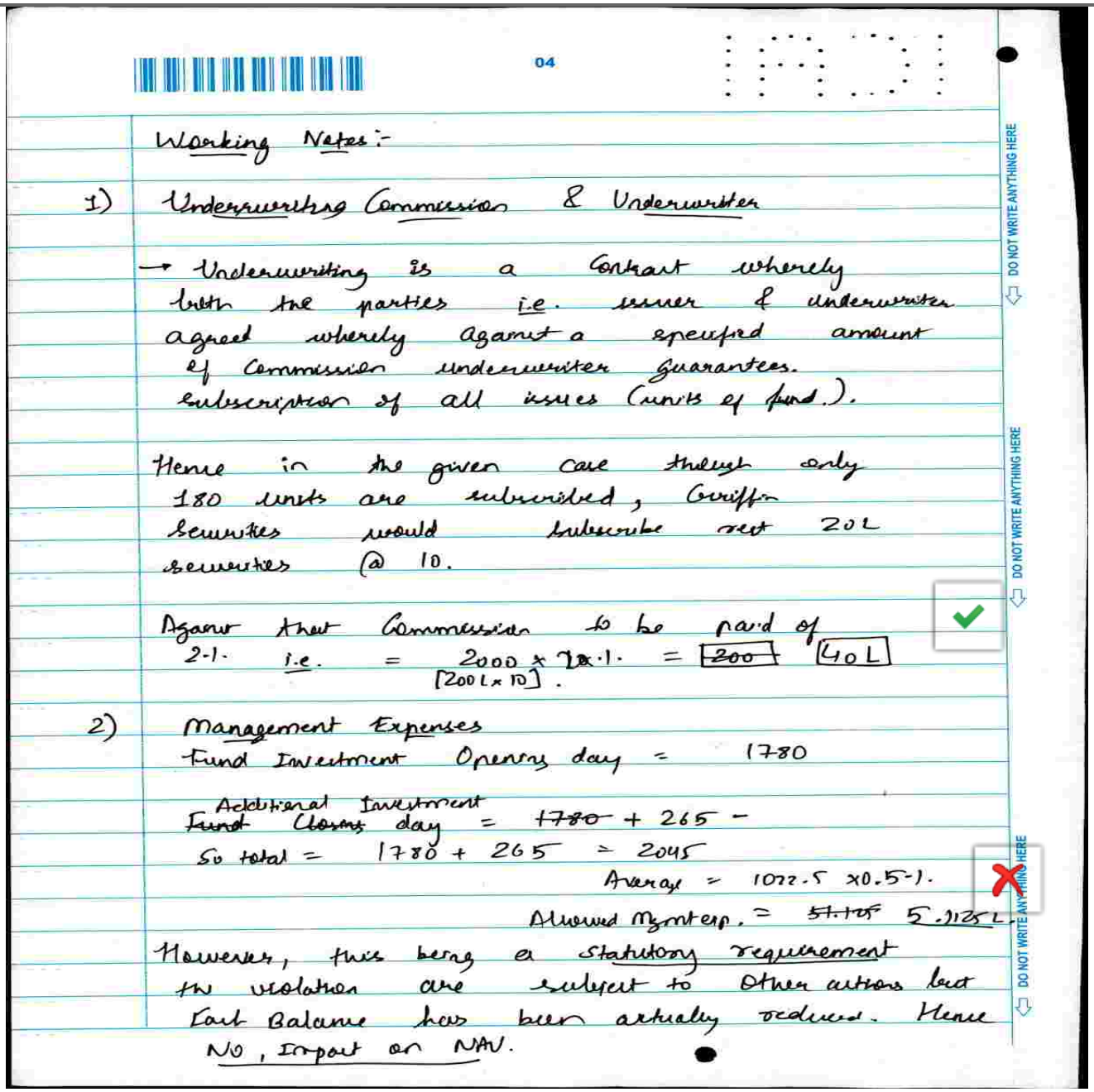
(a)

Calculation of Closing Value of Mutual Funds per unit issued. (Closing NAV.).

Particulars	Lakhs. ₹
1). Market value of Investment Portfolio	2150.5
2) Cash.	141.6
3) ~~less~~: Dividend Receivable.	0.4
4) Less: Management expense Payable.	(0.5)
A) Fund → Closing Total Value	2292.
B) No of Units in Nos. (lakhs).	200
Closing NAV = A / B	11.46
Closing.	Answer

R
2 6aStep2

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04

Working Notes :-

1) Underwriting Commission & Underwriter

→ Underwriting is a Contract whereby both the parties i.e. issuer & underwriter agreed whereby against a specified amount of commission underwriter guarantees. subscription of all issues (units of fund.).

Hence in the given case though only 180 units are subscribed, Griffin Securities would subscribe rest 20L securities @ 10.

Against that Commission to be paid of 2-1. i.e. = 2000 × 2% · 1. = ~~200~~ 40L
[200L × 10].

2) Management Expenses

Fund Investment Opening day = 1780

Fund ~~Closing~~ Additional Investment day = ~~1780~~ + 265 −

So total = 1780 + 265 = 2045

Average = 1022.5 x0.5-1.

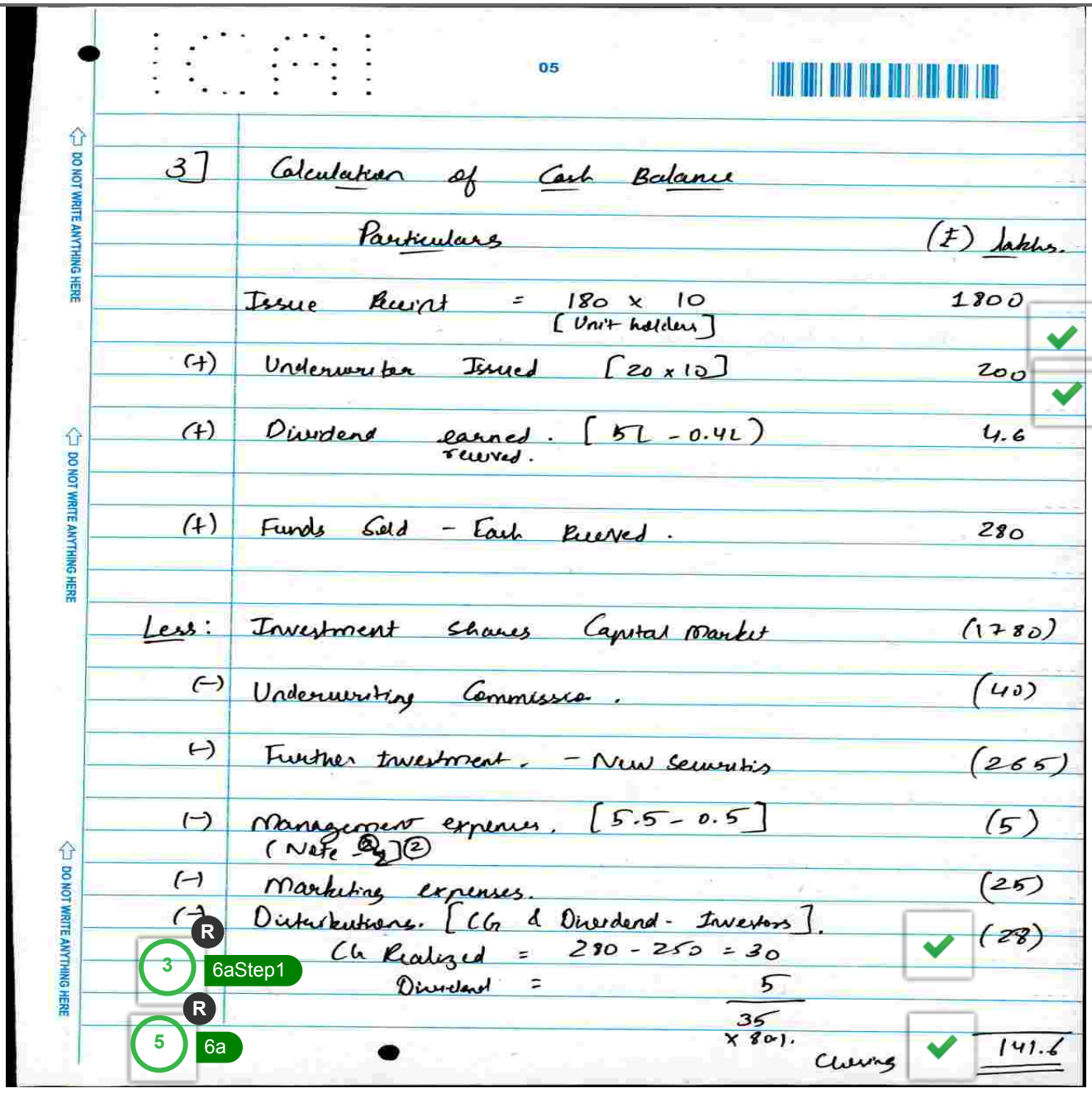
Allowed Mgmt exp. = ~~51.125~~ 5.1125L.

However, this being a statutory requirement the violation are subject to other actions but Fair Balance has been actually reduced. Hence No, Impact on NAV.

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05

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3] Calculation of Cash Balance

	Particulars	(₹) lakhs.
	Issue Receipt = 180 x 10 [Unit holders]	1800
(+)	Underwriter Issued [20 x 10]	200
(+)	Dividend earned. [5L - 0.4L] received.	4.6
(+)	Funds Sold - Each Reserved.	280
Less:	Investment shares Capital Market	(1780)
(-)	Underwriting Commission.	(40)
(-)	Further investment. - New Securities	(265)
(-)	Management expenses. [5.5 - 0.5] (Note 2)(2)	(5)
(-)	Marketing expenses.	(25)
(-)	Distributions. [CG & Dividend - Investors].	(28)
	CG Realized = 280 - 250 = 30	
	Dividend = 5 / 35 x 80).	
	Closing	141.6

R 3 6aStep1

R 5 6a

06

Que - 6

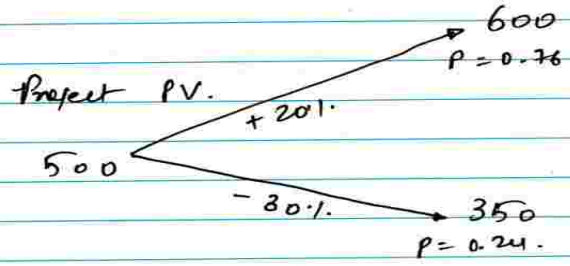
(b)

Value of Abandonment Option (Real Option)

Risk Neutrality Approach

Pay off

0 (>450).



100 [450 - 350].

Disposal Option → Works like a Put Option, if value is below ₹450, Company exercises it & stops the ~~incurrence~~ occurrence of loss..

$R = 1 + \frac{8}{100} = 1.08$

$d = \frac{350}{500} = 0.7$

$u = \frac{600}{500} = 1.2.$

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07

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Probability = $\frac{1.08 - 0.7}{1.2 - 0.7}$

= 0.76

Upper Point

Lower point = 1 − 0.76 = 0.24

Value of Abandonment Option

= $\frac{0\,(0.76) + 100\,(0.24)}{1.08}$

= $\frac{24}{1.08}$

= 22.22 Lakhs.

Value of Abandonment Option = 22.22

R 4 6bStep1

R 4 6b

08

Que - 6

(c).

1). Alternative 1

PTC - Pass through Certificates

Pass through certificates indicate direct claim of investor in the return from the underlying assets. All the receipts are proportionately distributed to the investors.

Even in case of prepayment they have direct claim and is thereby passed onto investors directly proportionately.

When all the realization from underlying assets are carried out, the securities (PTC) is cancelled and disposed.
Skewness of cashflows would be in earlier period if cash are prepaid before maturity.

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09

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2) Alternative - 2

Pay to Securities : (PTS).

In this case unlike PTC, the said structure allows the decynchronization of security cashflows / servicing from the payment directly to investors.

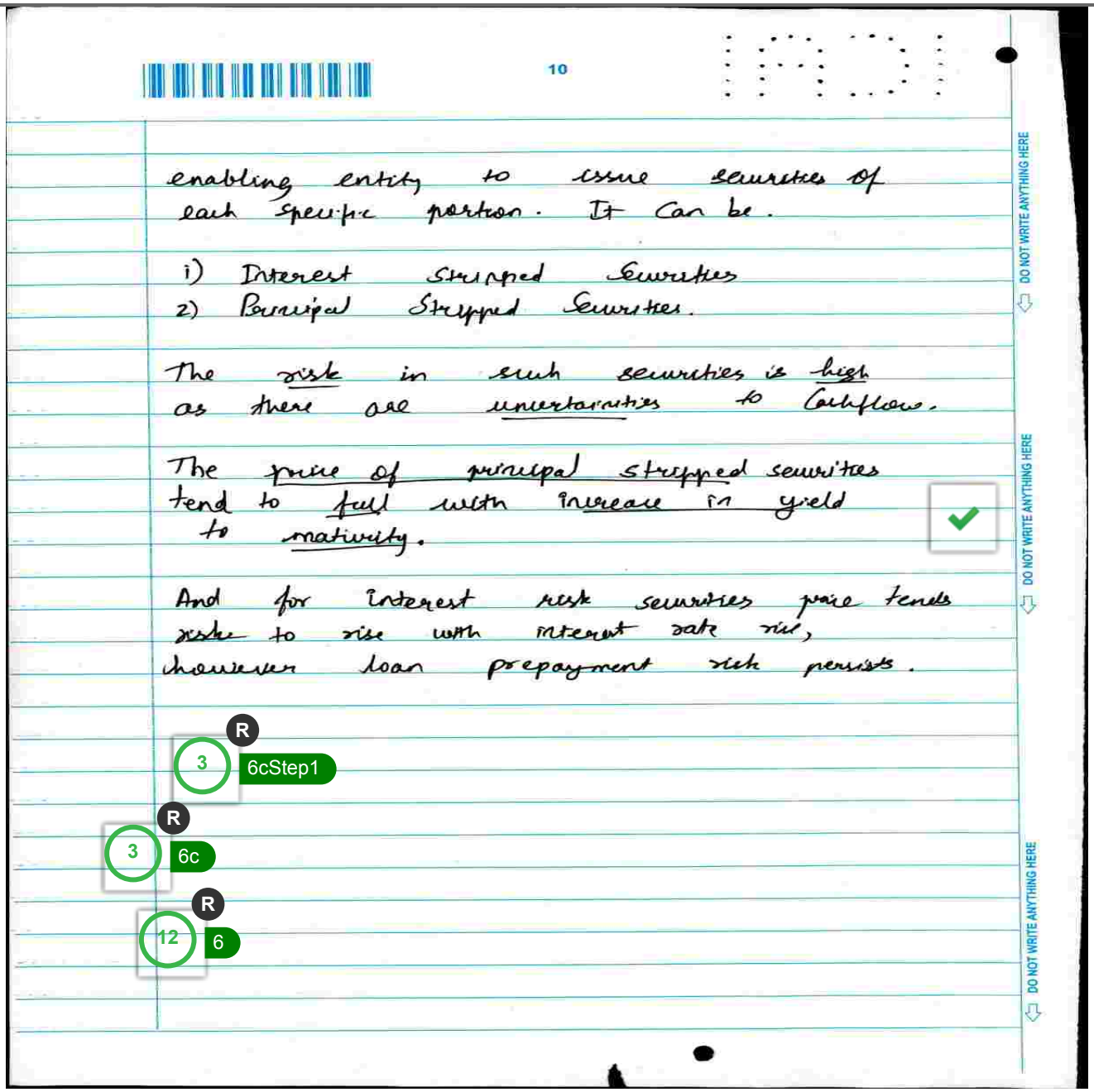
Such securities are backed by assets which are the collaterals are are issued as per various maturities of the underlying assets.

In case of prepayment it allows the investment of the surplus reperd for short term purposes to earn income thereby managing prepayment risk. Investors have no direct claim.

3) Alternative - 3

Stripped Securities

In such securities the payments from the underlying securities are segregated / stripped into different element, thereby



10

enabling entity to issue securities of each specific portion. It can be.

i) Interest Stripped Securities
2) Principal Stripped Securities.

The risk in such securities is high as there are uncertainties to Cashflows.

The price of principal stripped securities tend to fall with increase in yield to maturity.

And for interest risk securities price tends risks to rise with interest rate risk, however loan prepayment risk persists.

R 3 6cStep1

R 3 6c

R 12 6

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Que - 1

(a).

Ms. Investor – Mutual Funds - AMC.

1/4/19 ——— 30/9/21 ——— 30/9/23

↓ ↓ ↓

Investment Date | Bonus Issue. 1:4 (1st) | Bonus 2:5. (2nd).

Period → 30 Mths. | 24 Mths.

1). NAV as on 31.3.25 = 110.

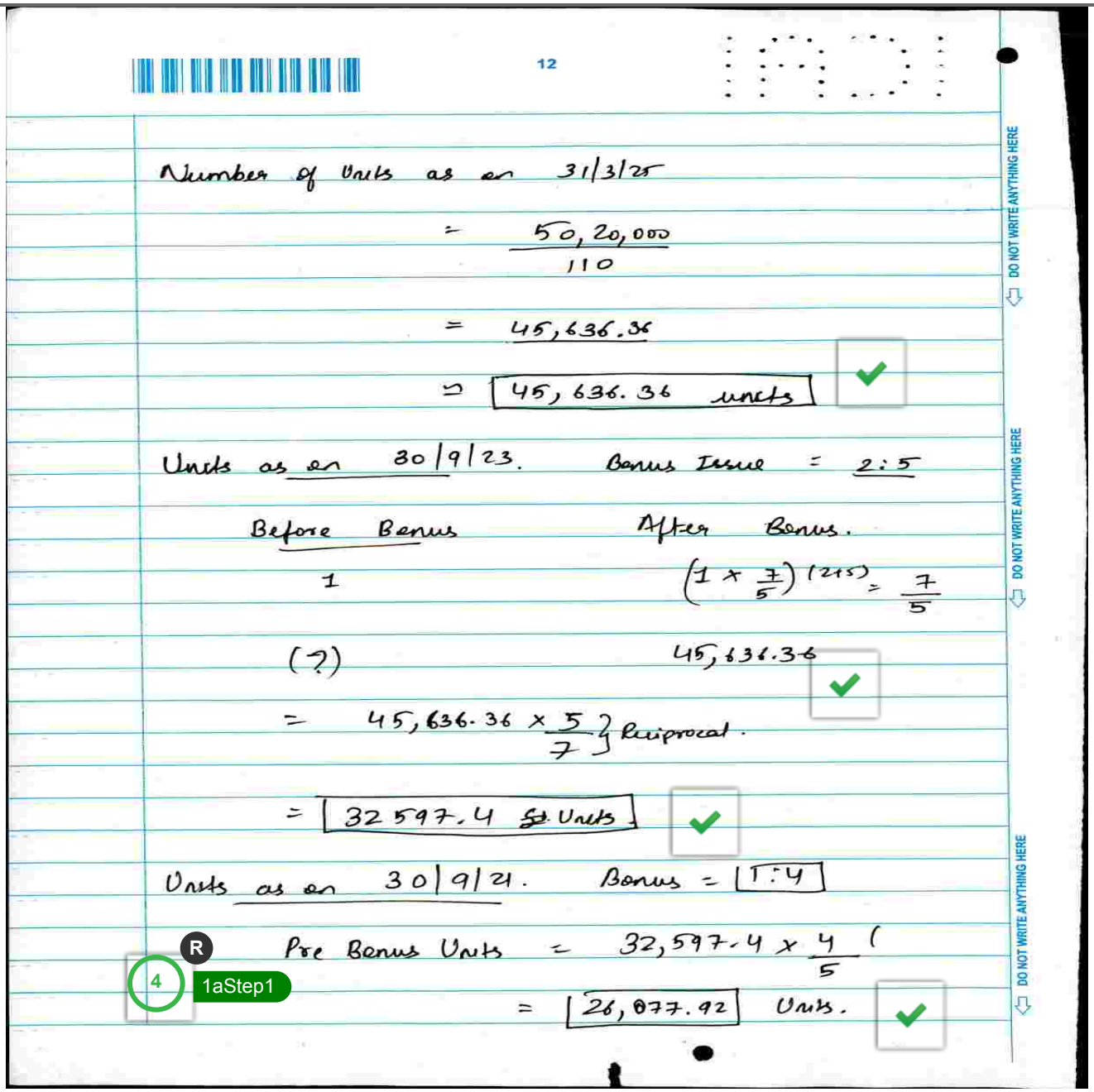
Holding period = 1/4/19 to 31/3/25.
= 6 yrs = 72 Months.

Average Annual Yield of 6 yrs = 16.8.1.

For 6 Years = 16.8 × 6 = 100.8.1.

Initial Investment Value = 25,00,000

Value of Investment as on 31/3/25
= 25,00,000 + [100.8.1.]
= 50,20,000 Rs.



12

Number of Units as on 31/3/25

$= \frac{50,20,000}{110}$

$= 45,636.36$

$\Rightarrow$ 45,636.36 units

Units as on 30/9/23. Bonus Issue = 2:5

Before Bonus	After Bonus.
1	$\left(1 \times \frac{7}{5}\right)(215) = \frac{7}{5}$
(?)	45,636.36

$= 45,636.36 \times \frac{5}{7}$ } Reciprocal.

= 32597.4 Units

Units as on 30/9/21. Bonus = 1:4

Pre Bonus Units $= 32,597.4 \times \frac{4}{5}$

= 26,077.92 Units.

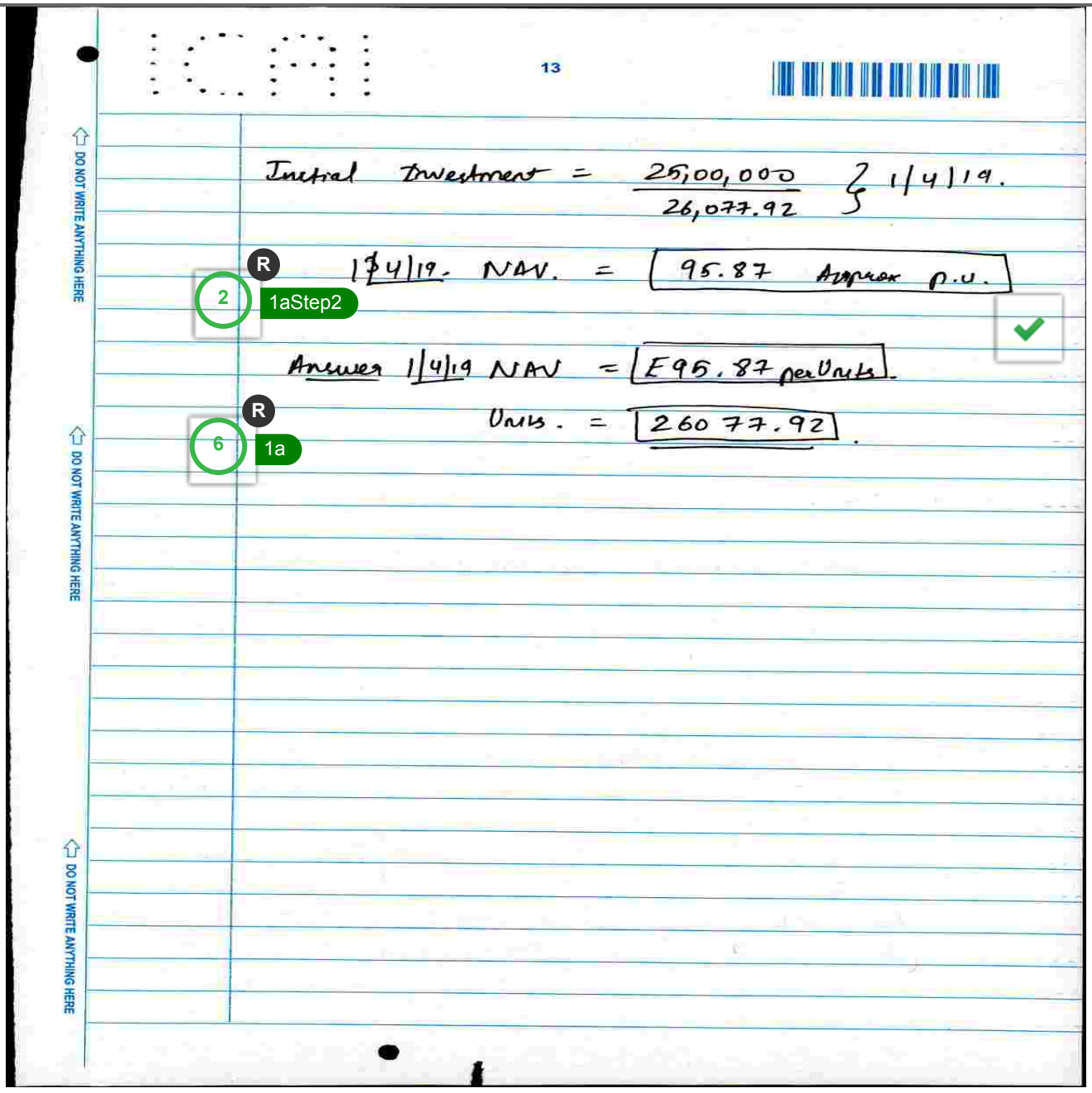
R 4 1aStep1

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Code:	**FN2AF113403**	**Total Marks:**	**70**
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13

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Inetial Investment = 25,00,000 / 26,077.92 @ 1/4/19.

R 2 1aStep2

1/4/19. NAV. = 95.87 Approx p.u.

Answer 1/4/19 NAV = ₹95.87 per Units.

R 6 1a

Units. = 26077.92.

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14

Que - 1

(b)

Promoter Holding = 84.1. = 126 lakh shares

Total Shares = $\frac{126}{84.1.}$ = 150 lakh shares.

Computation of P/E Ratio

→ Free Float Market Capitalization = ₹38.40 Cr.

Total Market Capitalization = $\frac{38.40 \text{ Cr}}{16.1.}$

↗ Non-promoter holding

= 240 Cr.

Market Price Share (MPS) = $\frac{240 \text{ Cr.}}{1.5 \text{ Cr. Share.}}$

= ₹160 p. share.

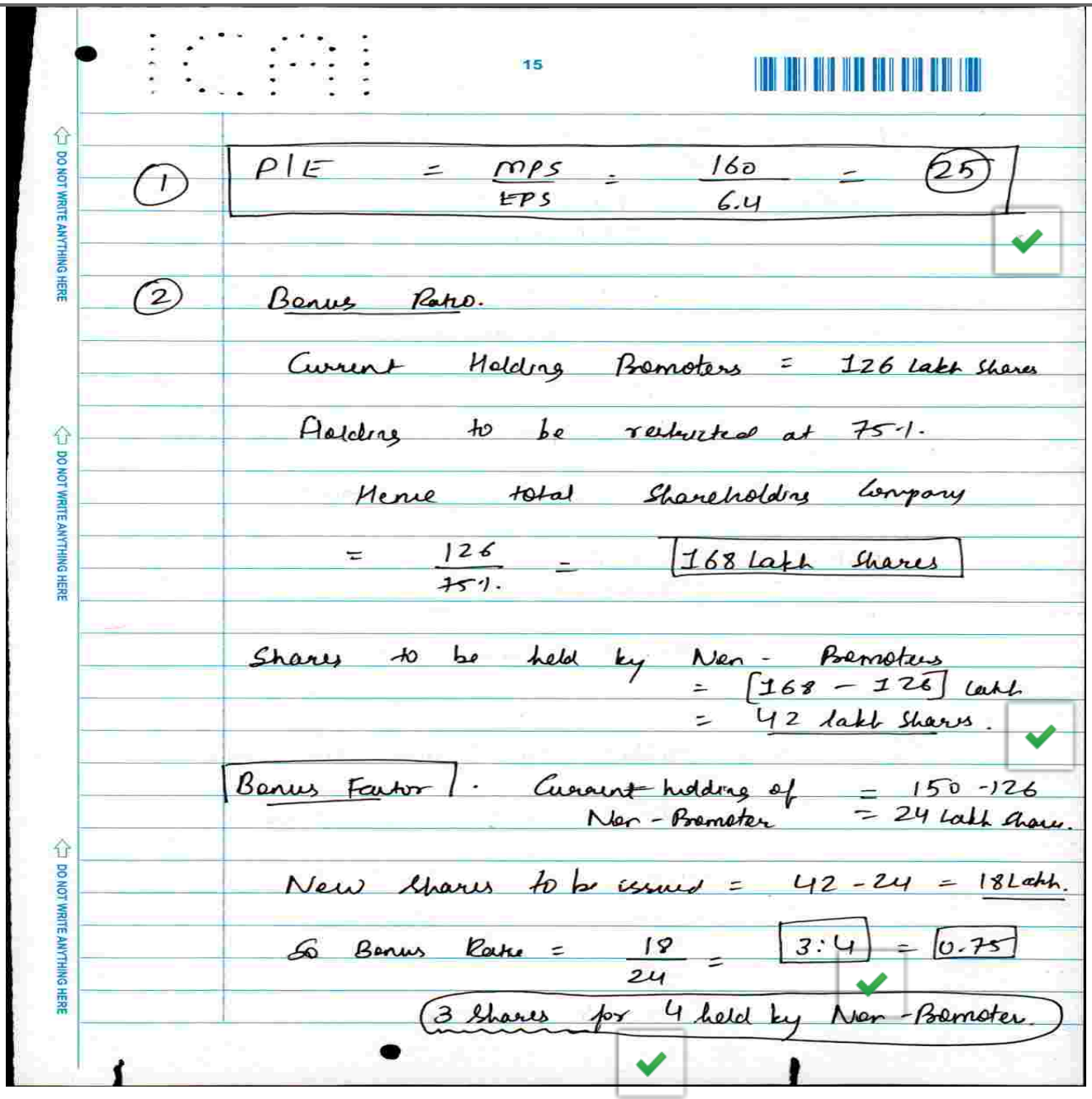
Profit After tax = ₹9.60 crores.

EPS = $\frac{9.60}{1.5}$ = ₹6.4 p. share

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15

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(1) $P/E = \frac{MPS}{EPS} = \frac{160}{6.4} = 25$

(2) Bonus Ratio.

Current Holding Promoters = 126 lakh shares

Holding to be restricted at 75%.

Hence total Shareholding Company

$= \frac{126}{75\%} =$ 168 lakh shares

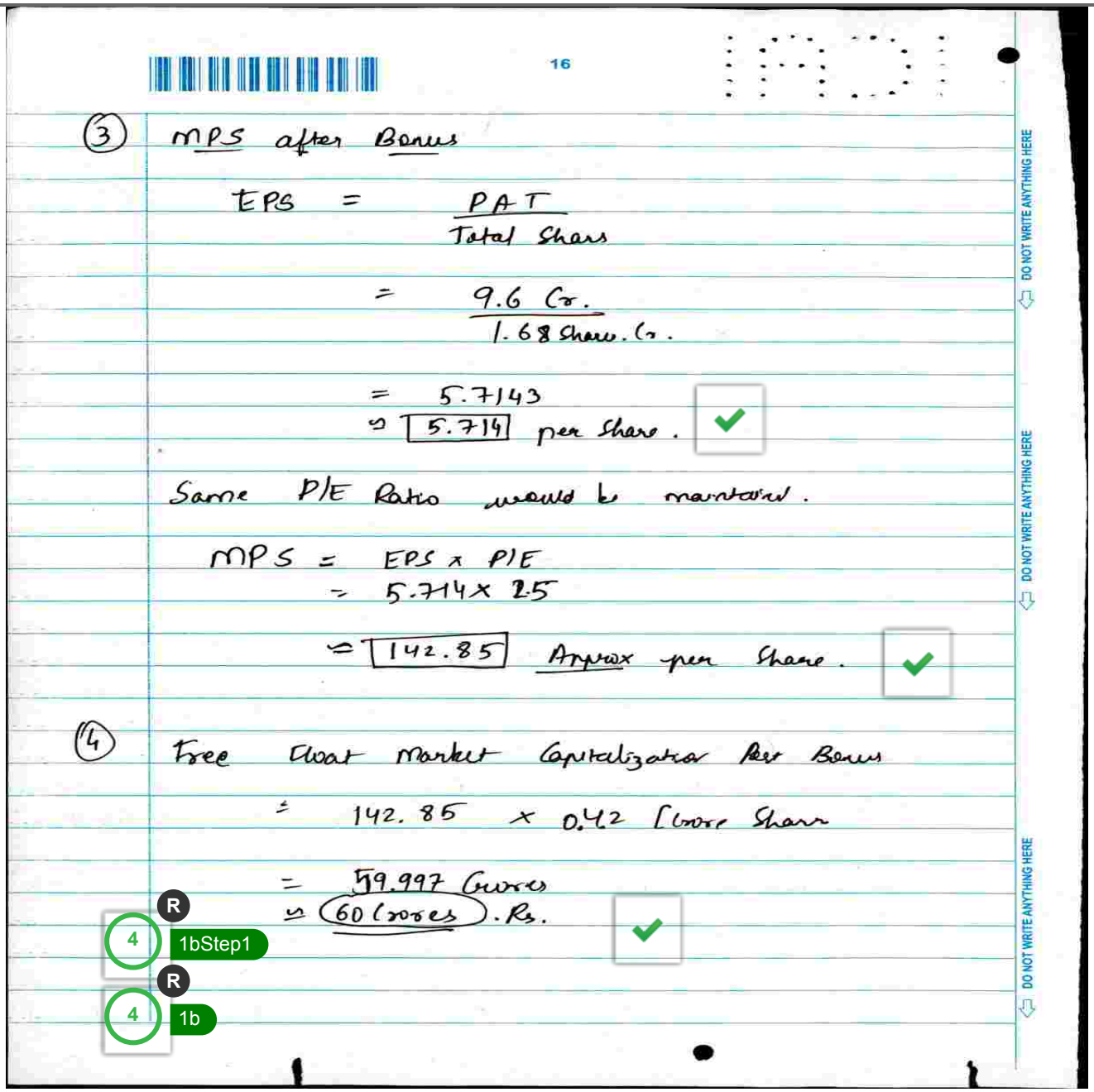
Shares to be held by Non-Promoters
= [168 − 126] lakh
= 42 lakh shares.

Bonus Factor. Current holding of Non-Promoter = 150 − 126 = 24 lakh shares.

New shares to be issued = 42 − 24 = 18 Lakh.

So Bonus Ratio = $\frac{18}{24}$ = 3:4 = 0.75

3 shares for 4 held by Non-Promoter.



16

(3) MPS after Bonus

$$EPS = \frac{PAT}{\text{Total Shares}}$$

$$= \frac{9.6 \text{ Cr.}}{1.68 \text{ Shares. Cr.}}$$

$$= 5.7143$$

$$\simeq \boxed{5.714} \text{ per Share.}$$

Same P/E Ratio would be maintained.

$$MPS = EPS \times P/E$$

$$= 5.714 \times 2.5$$

$$\simeq \boxed{142.85} \text{ Approx per Share.}$$

(4) Free Float Market Capitalization After Bonus

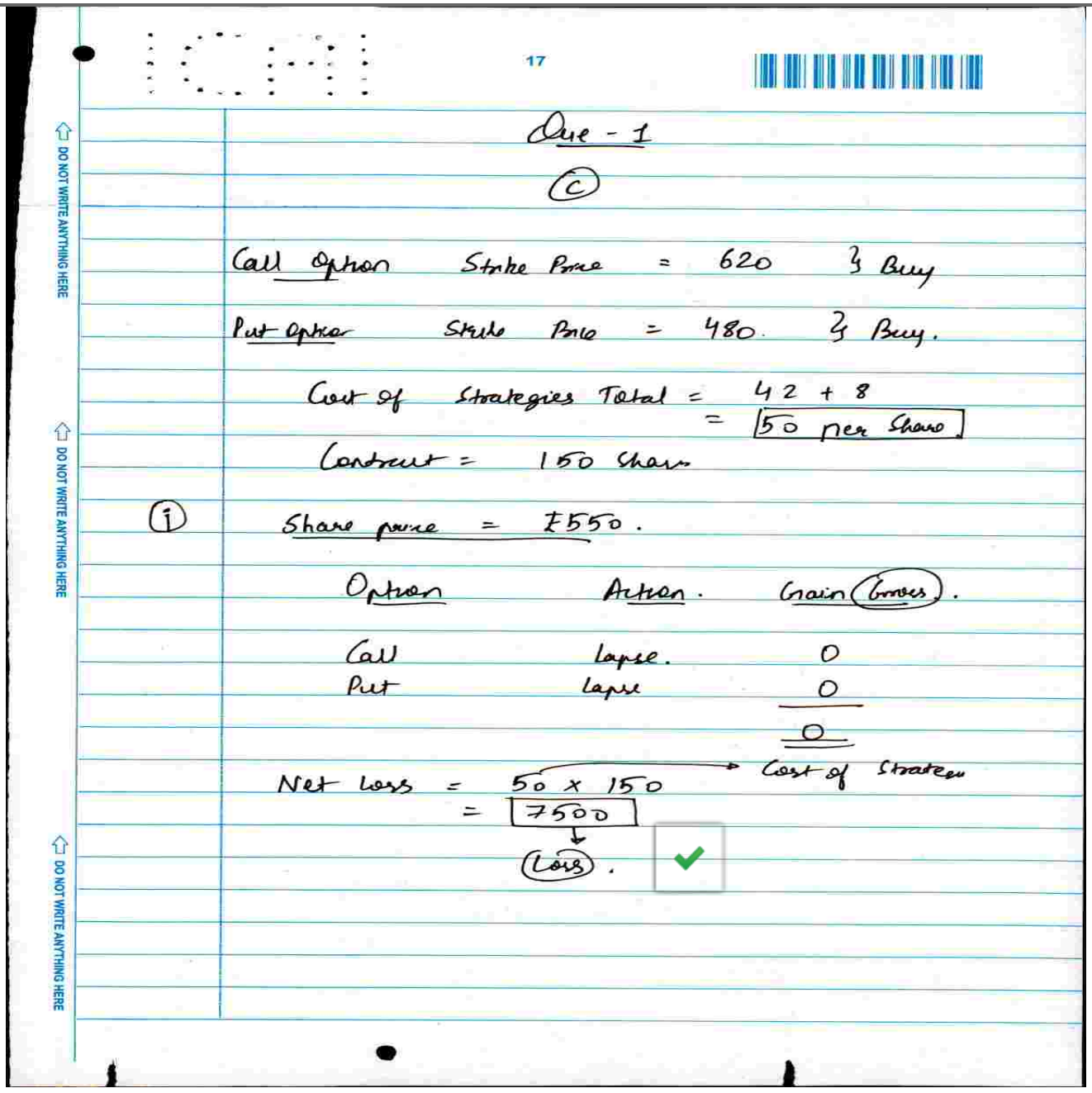
$$= 142.85 \times 0.42 \text{ Crore Shares}$$

$$= 59.997 \text{ Crores}$$

$$\simeq (60 \text{ Crores}) \text{ Rs.}$$

R 4 1bStep1

R 4 1b



17

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Que - 1

(c)

Call Option Strike Price = 620 } Buy

Put Option Strike Price = 480 } Buy.

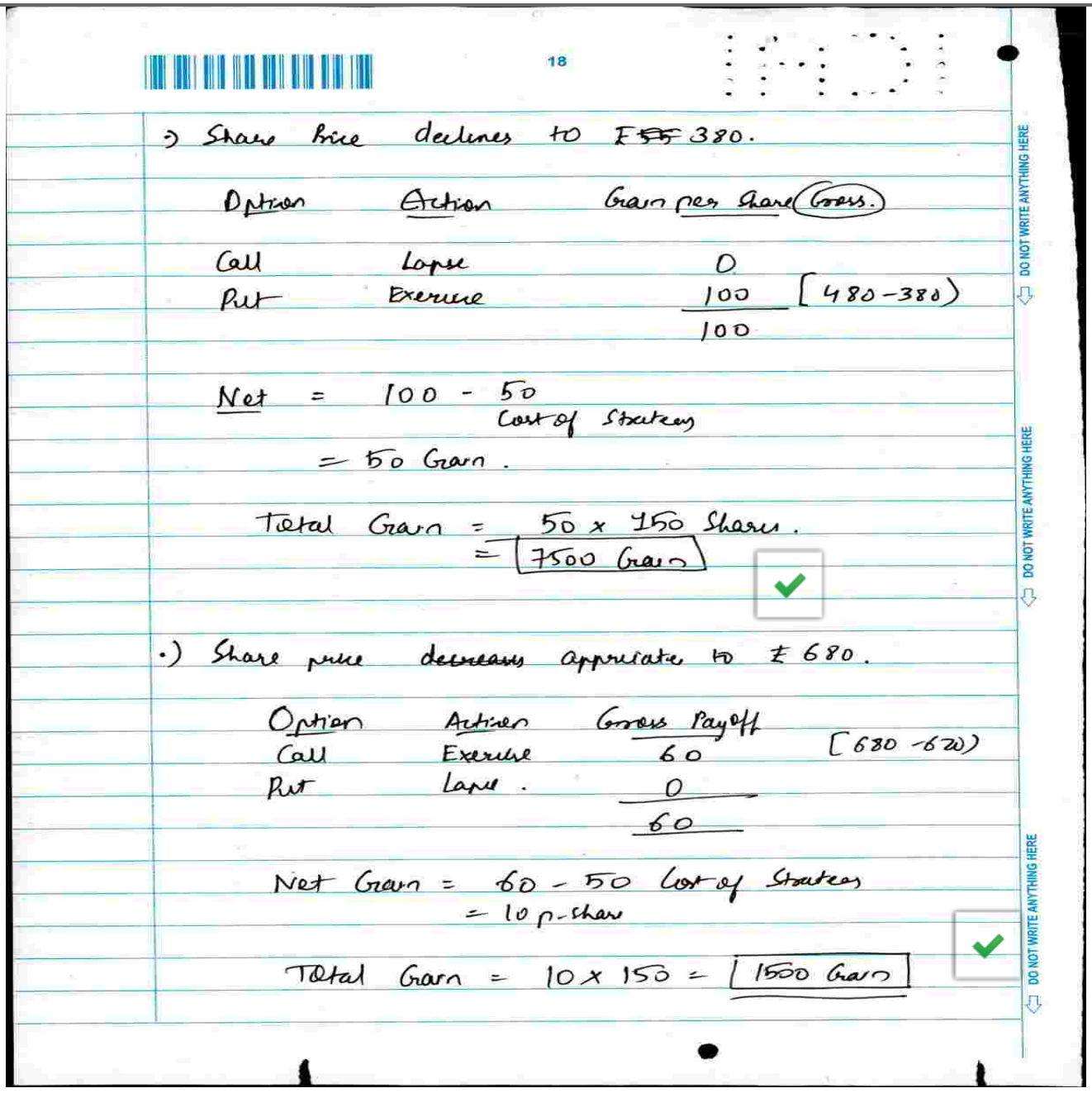
Cost of Strategies Total = 42 + 8
= 50 per Share

Contract = 150 Share

(i) Share price = ₹550.

Option	Action.	Gain (Loss).
Call	Lapse.	0
Put	Lapse	0
		0

Net Loss = 50 x 150 → Cost of Strategy
= 7500
(Loss).



18

→ Share price declines to ~~₹55~~ 380.

Option	Action	Gain per share (Gross.)
Call	Lapse	0
Put	Exercise	100 [480-380]
		100

Net = 100 - 50
Cost of Strategy
= 50 Gain.

Total Gain = 50 x 150 Shares.
= 7500 Gain

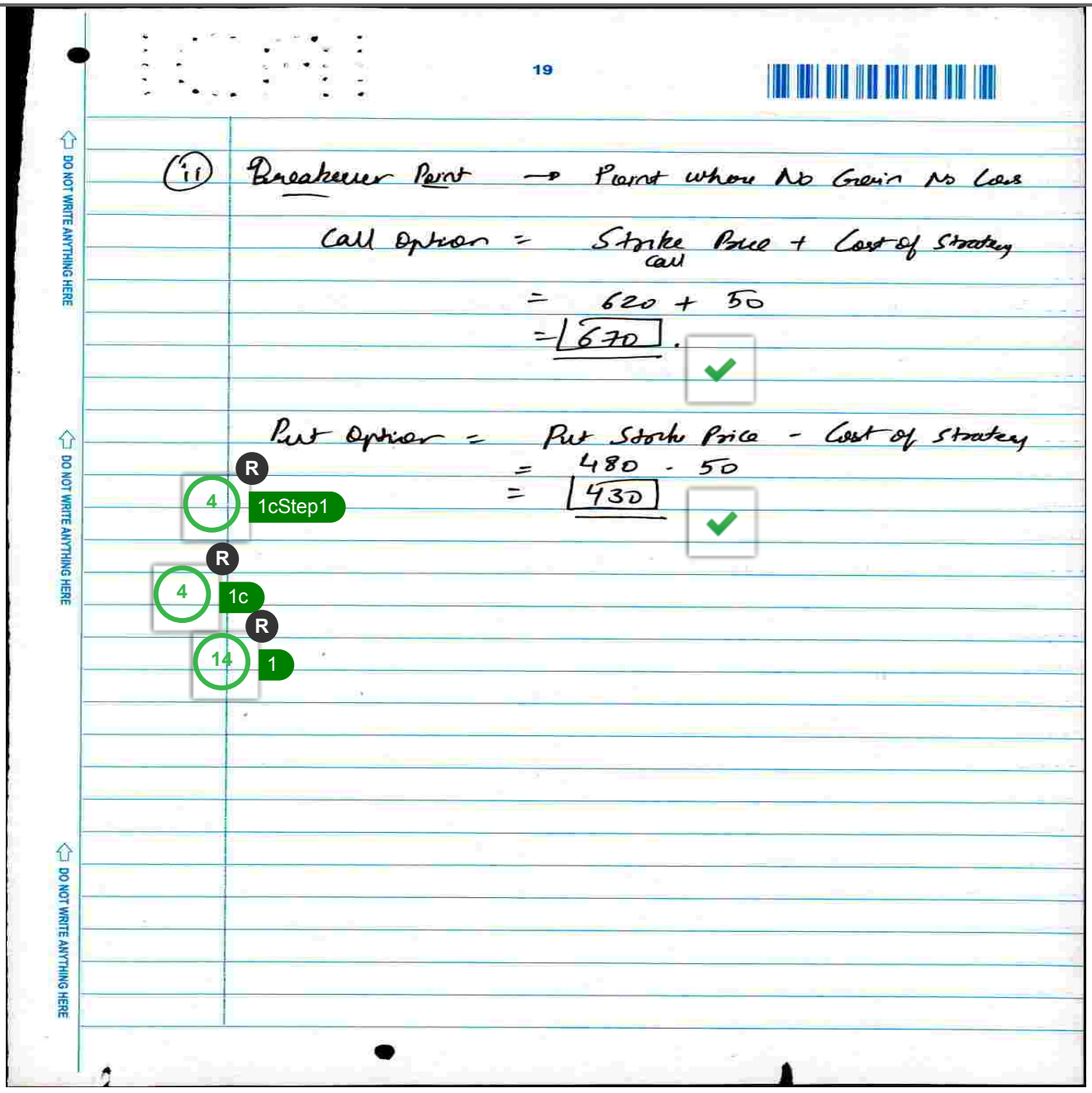
•) Share price decreases appreciate to ₹ 680.

Option	Action	Gross Payoff
Call	Exercise	60 [680-620]
Put	Lapse.	0
		60

Net Gain = 60 - 50 Cost of Strategy
= 10 p.share

Total Gain = 10 x 150 = 1500 Gain

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19

(ii) Breakeven Point → Point where No Gain No Loss

Call Option = Strike Price + Cost of Strategy
Call

= 620 + 50

= 670.

Put Option = Put Strike Price - Cost of Strategy

= 480 - 50

= 430

R 4 1cStep1

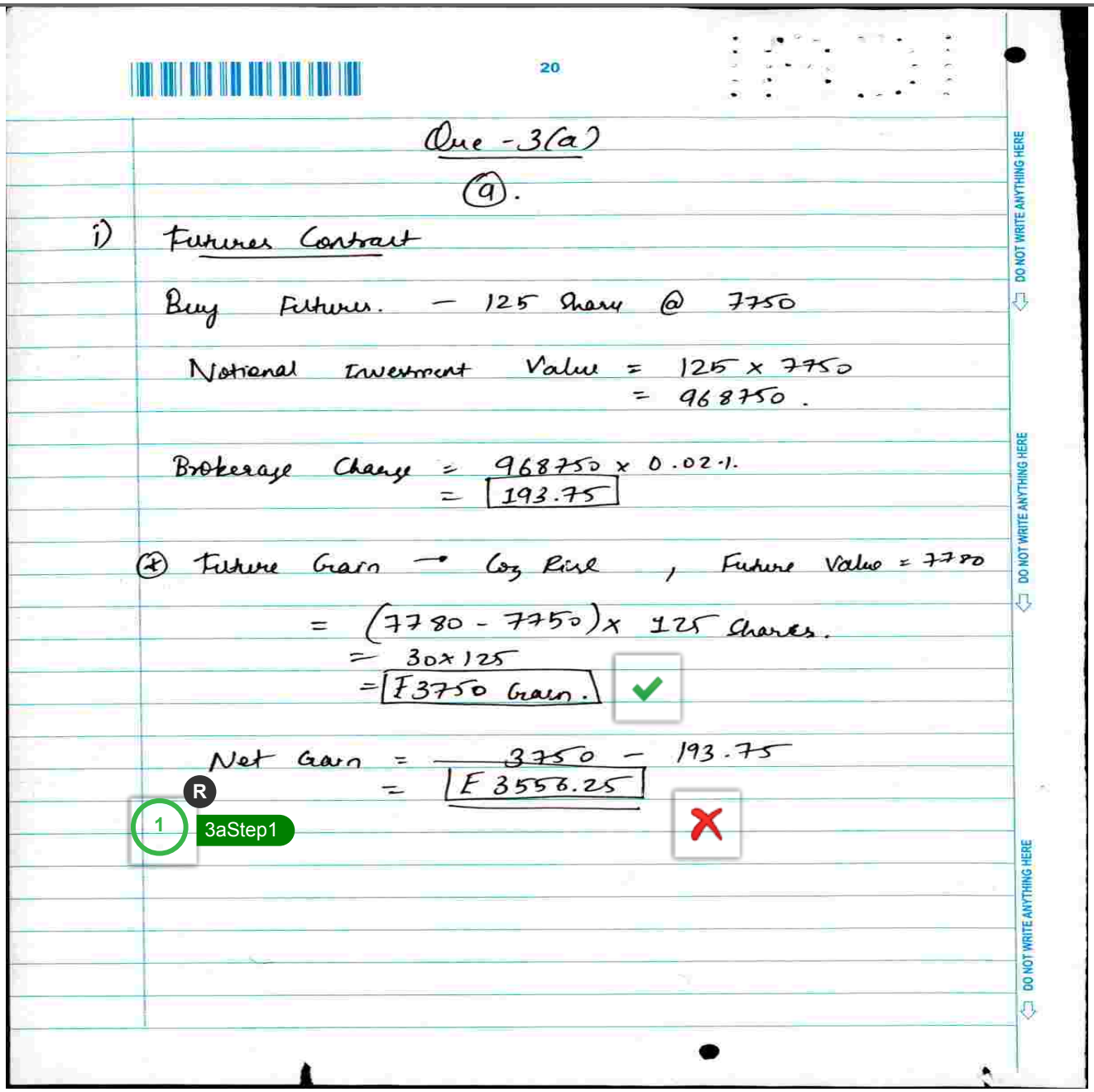
R 4 1c

R 14 1

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20

Que - 3(a)

(a).

i) Futures Contract

Buy Futures. — 125 Shares @ 7750

Notional Investment Value = 125 x 7750
= 968750.

Brokerage Charge = 968750 x 0.02.1.
= 193.75

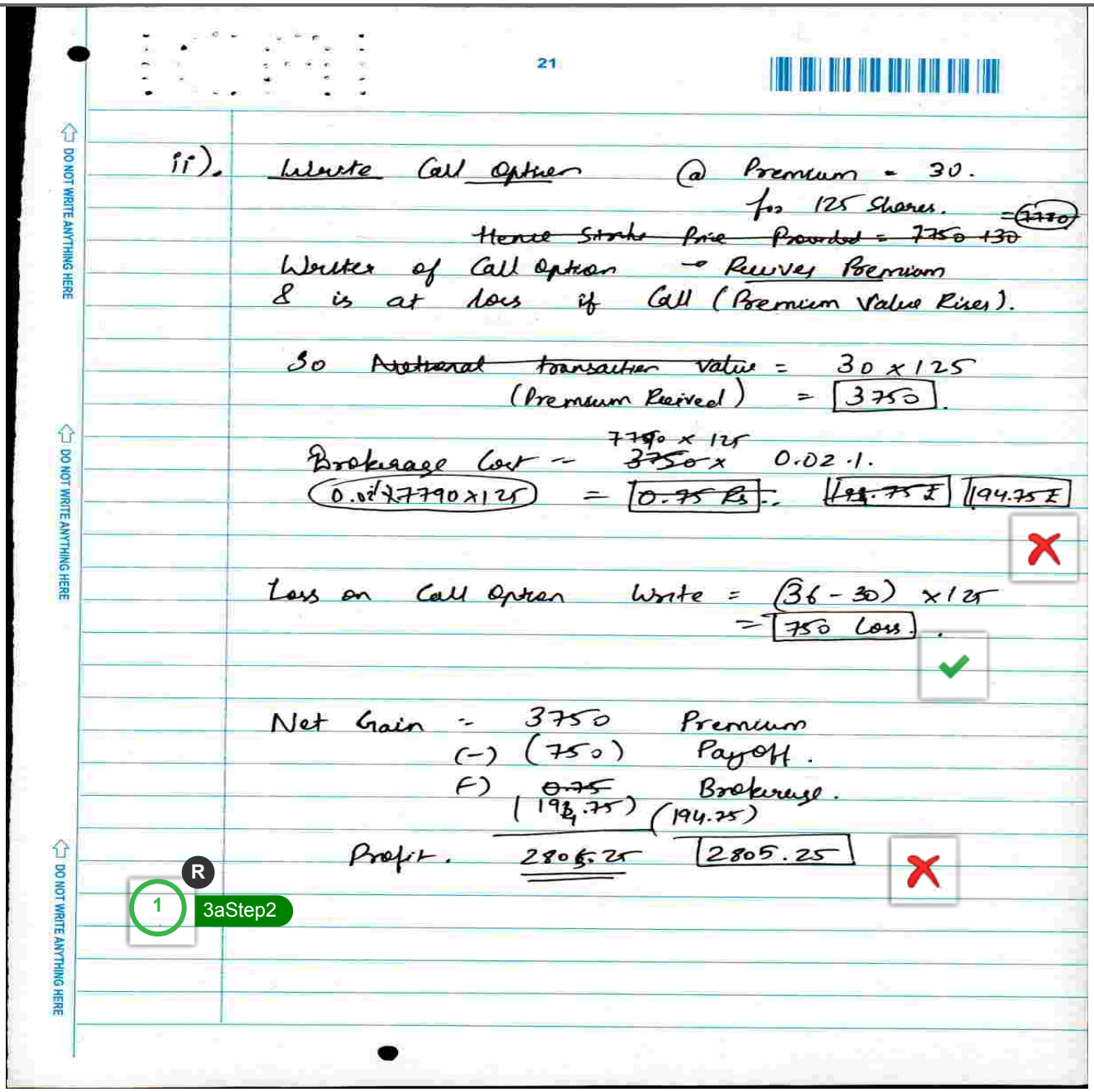
(*) Future Gain — Buy Risk , Future Value = 7780

= (7780 - 7750) x 125 Shares.
= 30 x 125
= ₹3750 Gain. ✔

Net Gain = 3750 — 193.75
= ₹3556.25 ✘

R
1 3aStep1

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21

ii). ~~Wrote~~ Call Option @ Premium = 30.
for 125 Shares. = ~~7750~~
~~Hence Strike Price Provided = 7750 / 30~~
Writer of Call Option → Receive Premium
& is at loss if Call (Premium Value Rises).

So ~~Notional transaction~~ value = 30 × 125
(Premium Received) = 3750.

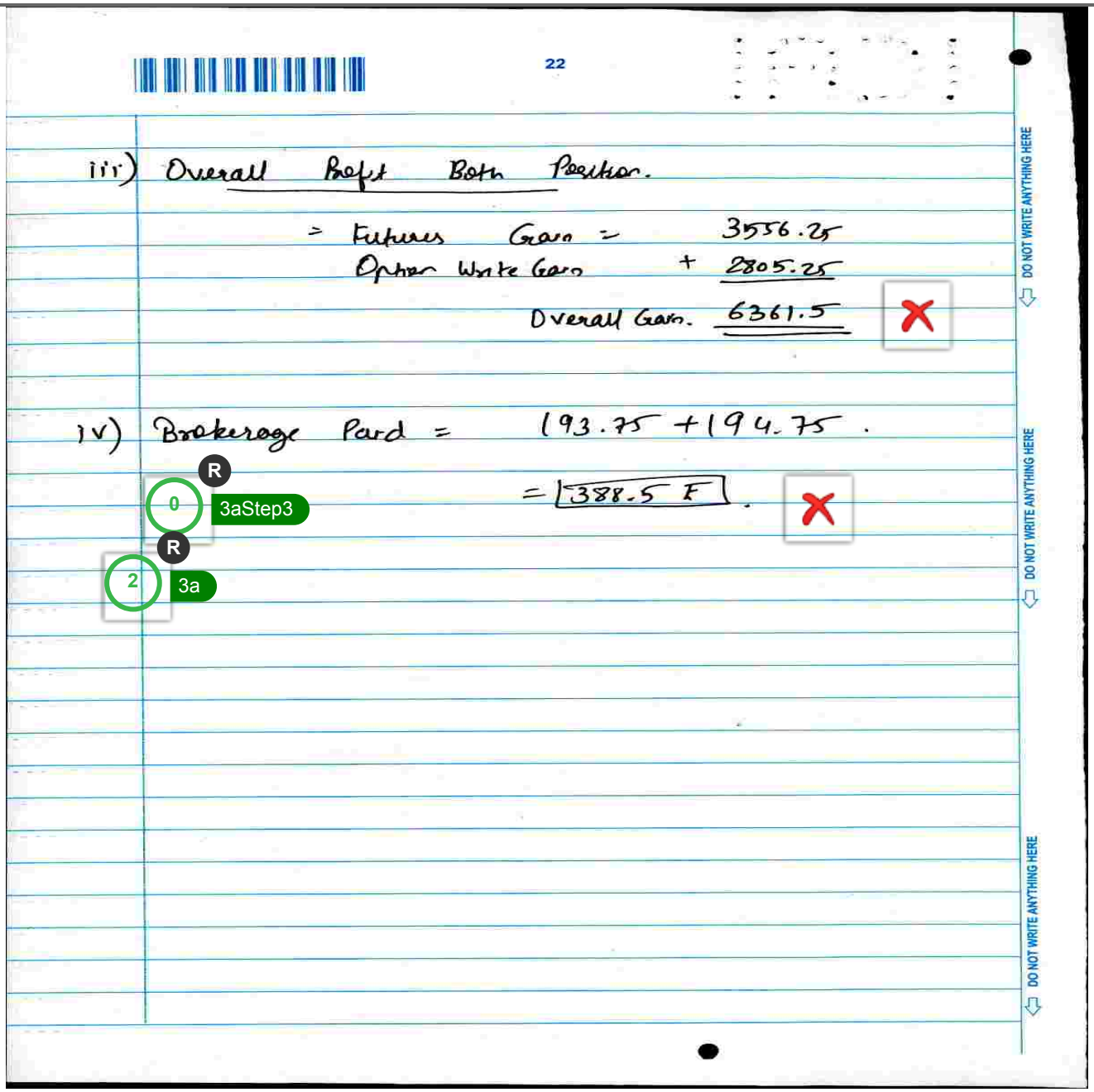
Brokerage Cost = ~~3750~~ $\frac{7790 \times 125}{}$ × 0.02 / 1.
(0.01 / 7790 × 125) = 0.75 Rs. ~~193.75~~ 194.75

Loss on Call Option Write = (36 − 30) × 125
= 750 Loss.

Net Gain = 3750 Premium
(−) (750) Payoff.
(+) ~~0.75~~ (194.75) Brokerage.
Profit. ~~2806.25~~ 2805.25

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R
1 3aStep2



22

iii) Overall Profit Both Position.

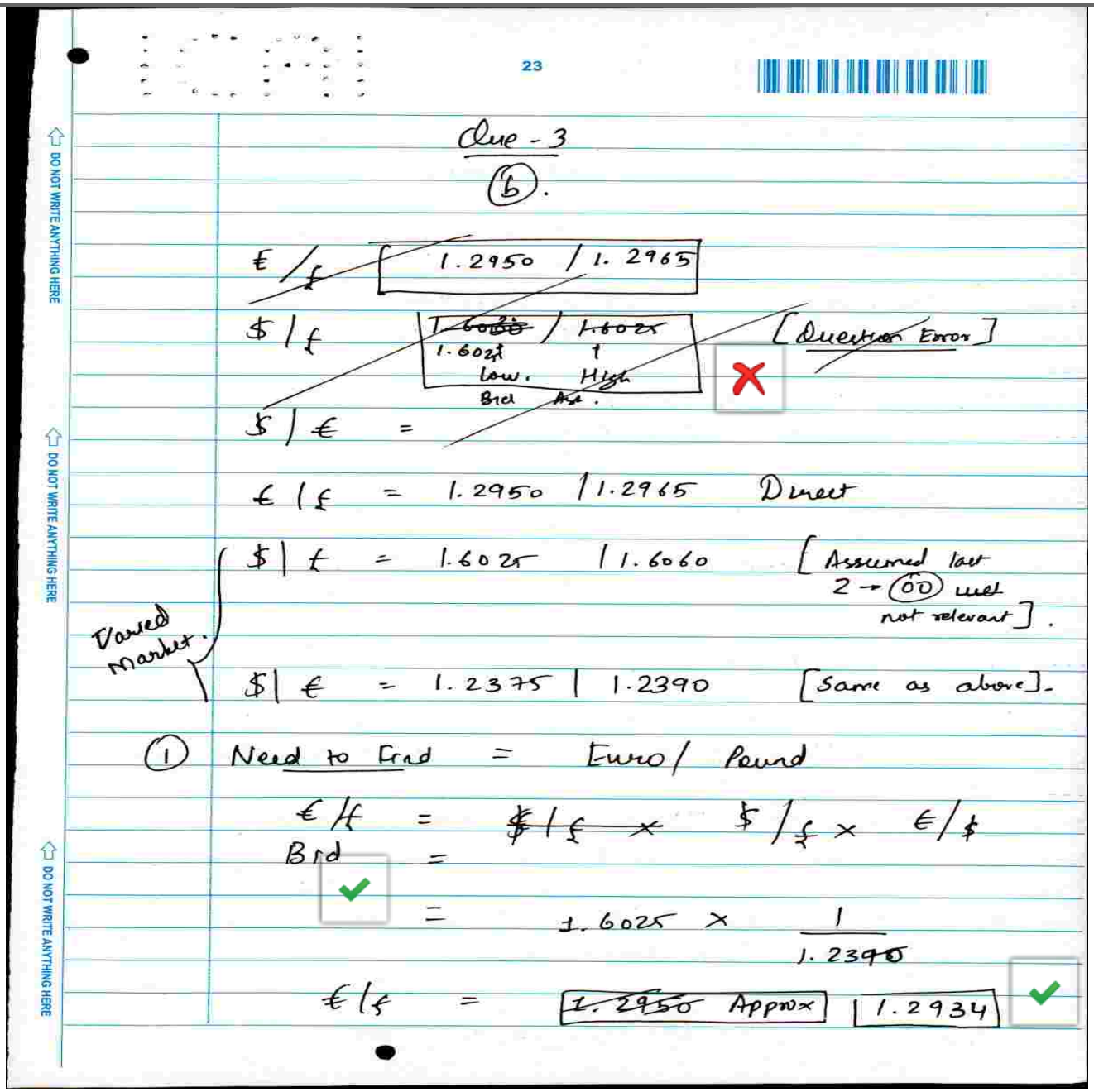
= Futures Gain = 3556.25
Option Write Gain + 2805.25
Overall Gain. 6361.5

iv) Brokerage Paid = 193.75 + 194.75.

= 388.5 F.

R 0 3aStep3
R 2 3a

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23

Que - 3

(b).

€/£ [1.2950 / 1.2965]

$/£ [1.6025 / 1.6060] [Question Error] ✗

1.6025 ↑ Low. Bid — 1.6060 ↑ High Ask.

$/€ =

€/£ = 1.2950 / 1.2965 Direct

Varied Market.

$/£ = 1.6025 / 1.6060 [Assumed last 2 → 00 will not relevant].

$/€ = 1.2375 / 1.2390 [Same as above].

(1) Need to find = Euro / Pound

€/£ = $/£ × $/£ × €/$

Bid =

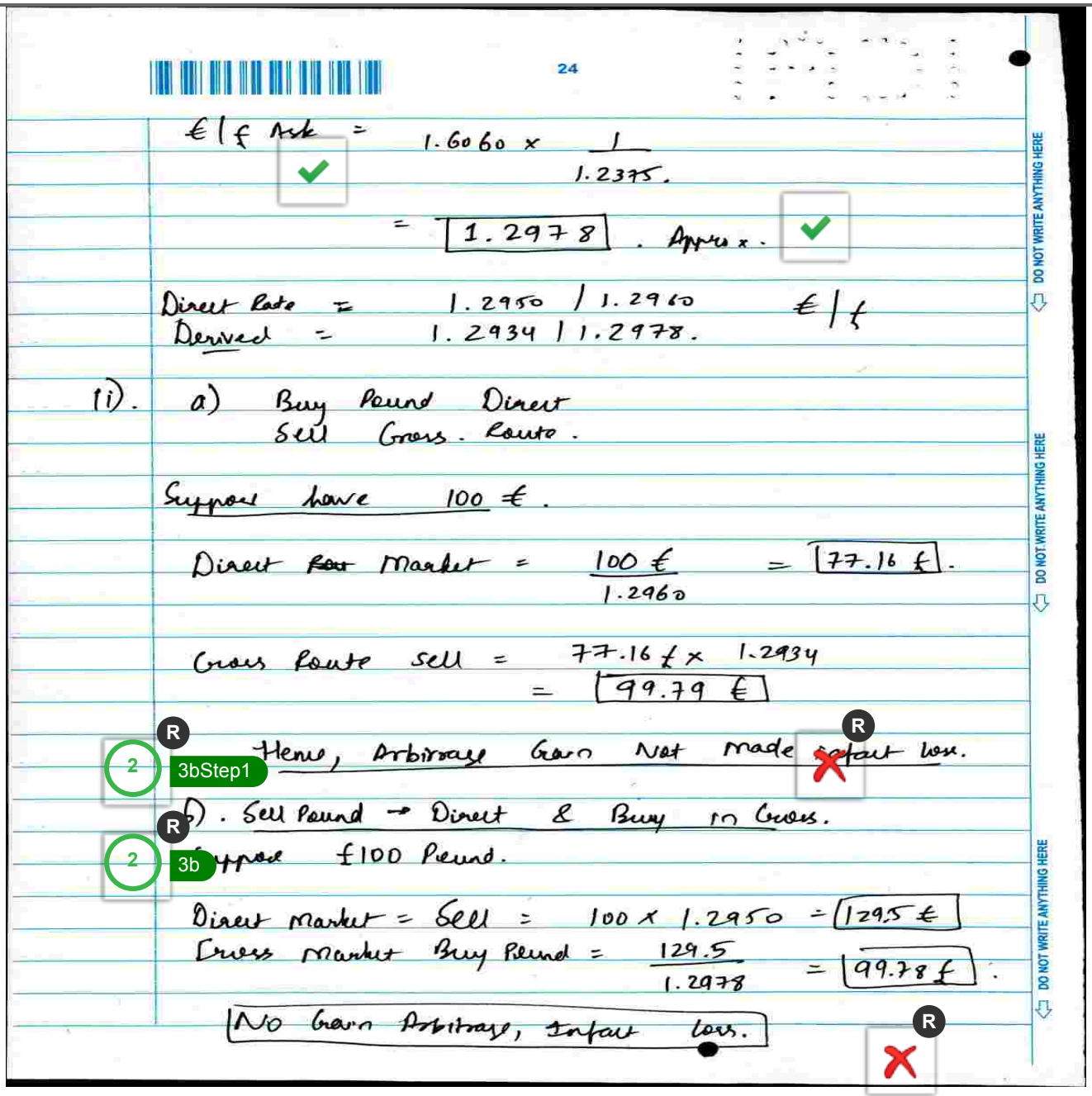
= 1.6025 × 1/1.2390

€/£ = 1.2950 Approx / 1.2934 ✓

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24

€/£ Ask = 1.6060 × 1/1.2375.

= 1.2978 . Approx.

Direct Rate = 1.2950 / 1.2960 €/£
Derived = 1.2934 / 1.2978.

ii). a) Buy Pound Direct
Sell Cross. Route.

Suppose have 100 €.

Direct Market = 100 €/1.2960 = 77.16 £.

Cross Route sell = 77.16 £ × 1.2934
= 99.79 €

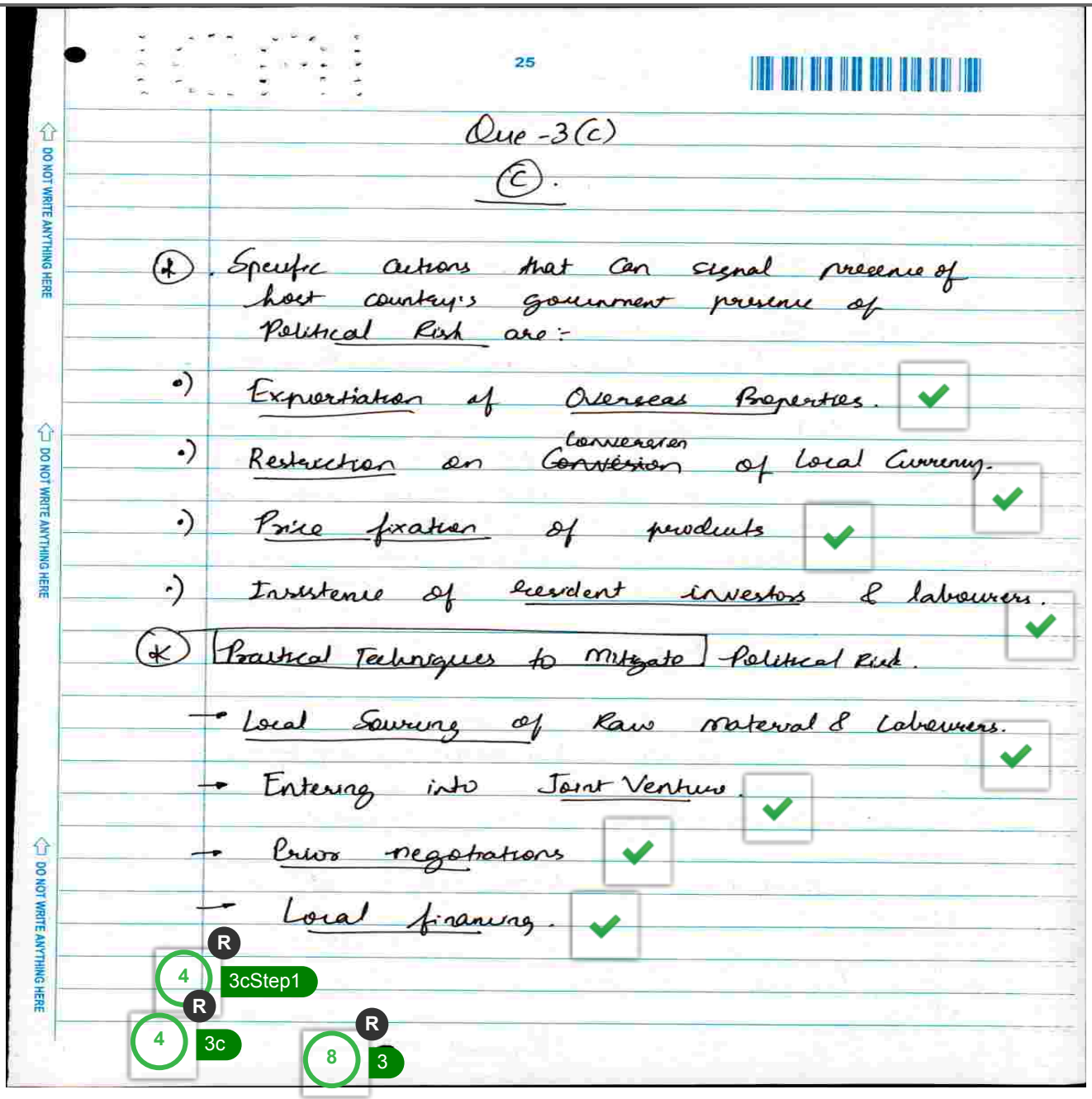
R 2 3bStep1 Hence, Arbitrage Gain Not made infact loss. R

b). Sell Pound → Direct & Buy in Cross.
R 2 3b Suppose £100 Pound.

Direct Market = Sell = 100 × 1.2950 = 1295 €
Cross Market Buy Pound = 129.5/1.2978 = 99.78 £.

No Gain Arbitrage, Infact loss. R

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25

Que -3(c)

(c).

(*). Specific actions that can signal presence of host country's government presence of Political Risk are :-

•) Expertiation of Overseas Properties. ✓

•) Restriction on ~~Conversion~~ Conversion of Local Currency. ✓

•) Price fixation of products ✓

•) Insistence of resident investors & labourers. ✓

(*) Practical Techniques to Mitigate Political Risk.

→ Local Sourcing of Raw material & Labourers. ✓

→ Entering into Joint Ventures. ✓

→ Prior negotiations ✓

→ Local financing. ✓

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R 4 3cStep1

R 4 3c

R 8 3

Que - 4

(a).

A B Ltd. → Borrower.

Strike Rate = 8.1. p.a.

~~Hence buy Interest Rate Guarantee @ 8.1 p.a.~~

To hedge against the change in interest rate, CAP, AB Ltd. can buy a Cap @ 8.1. p.a strike price for Notional Value of £5 million.
For strike price above rate, it would be compensated by the 3rd party.

Premium Paid for Cap @ 8.1.

= 5,00,000 x 0.4.1.
= 20,000. Premium. (lump Sum).

Interest Rate @ 6m period = 10.1. p.a.

Interest Payable = 50,00,000 x [10 + 0.5) x 6/12

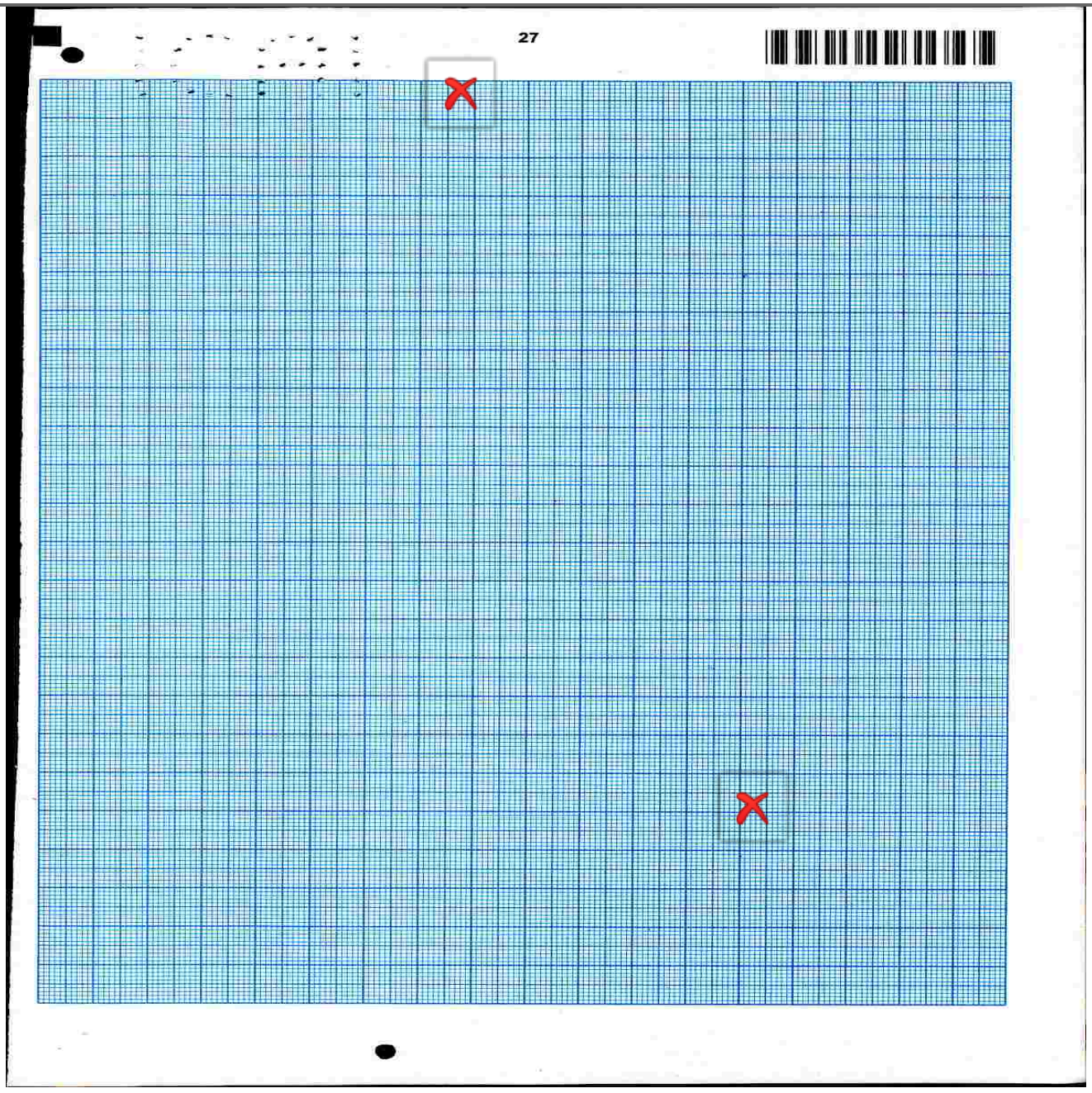
= £2,62,500

Receipt from Cap Option = 50,00,000 x [10 - 8]
= 50,00,000 x 2.1. x 6/12

Received = 50,000

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Net Gain = 50,000 Recent Cap − 20,000 Premium. → [Ideally for whole term but for Calculation reduced as Rf not given.]

= 30000 Rs. ✗

Net Interest Payable = 2,62,500 − 30,000

= 2,32,500 Rs. ✗

(*) XY Ltd.

Deposit → 2 million @ 3yrs.

→ Risk of Rate falling So enter in floor. ✓

Whereby At Rate of 8·1·p.a. floor. Premium payable @ 0.5·1·. We need to secure the falling floating rate hence by exercising Call it is secure.

R 2 4aStep1

Premium paid on Floor Buy = 2,00,00,00 × 0.5·1· = 10,000₹. ✗

Mentioned Lump Sum.

Interest Received for 6 months = (6·1· − 0.5·1·) × 2000000 × 6/12

= 55,000. ✗

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Receipt on Floor exercise.

$= 2,00,00,00 \times [8\cdot1 - 6\cdot1] \times \frac{6}{12}$

= [20,000] F. for 6 month.

R 0 4aStep2

Net Gain : 20,000 − 10,000 Premium

= [10,000].

Net Interest Received

= [55000 + 10000]

= [65000 Rs]. ✗

R 0 4aStep3

R 2 4a

Que - 4

(b)

(1) Income Statement (in lakh)

	Net Profit After Tax =	84 lakh
(+)	Tax 30.1. (84/70.1. - 84)	36 lakh
	Profit Before tax	120
(+)	Interest on Debentures Long [400 x 10.1.)	40
	Operating Income Before tax	160
(-)	Tax 30.1.	(48)
	NOPAT → Operating Income	112 lakh.

(2) WACC.

Equity Fund = Net Worth = 200
(+) Patent Unrecorded 100
300

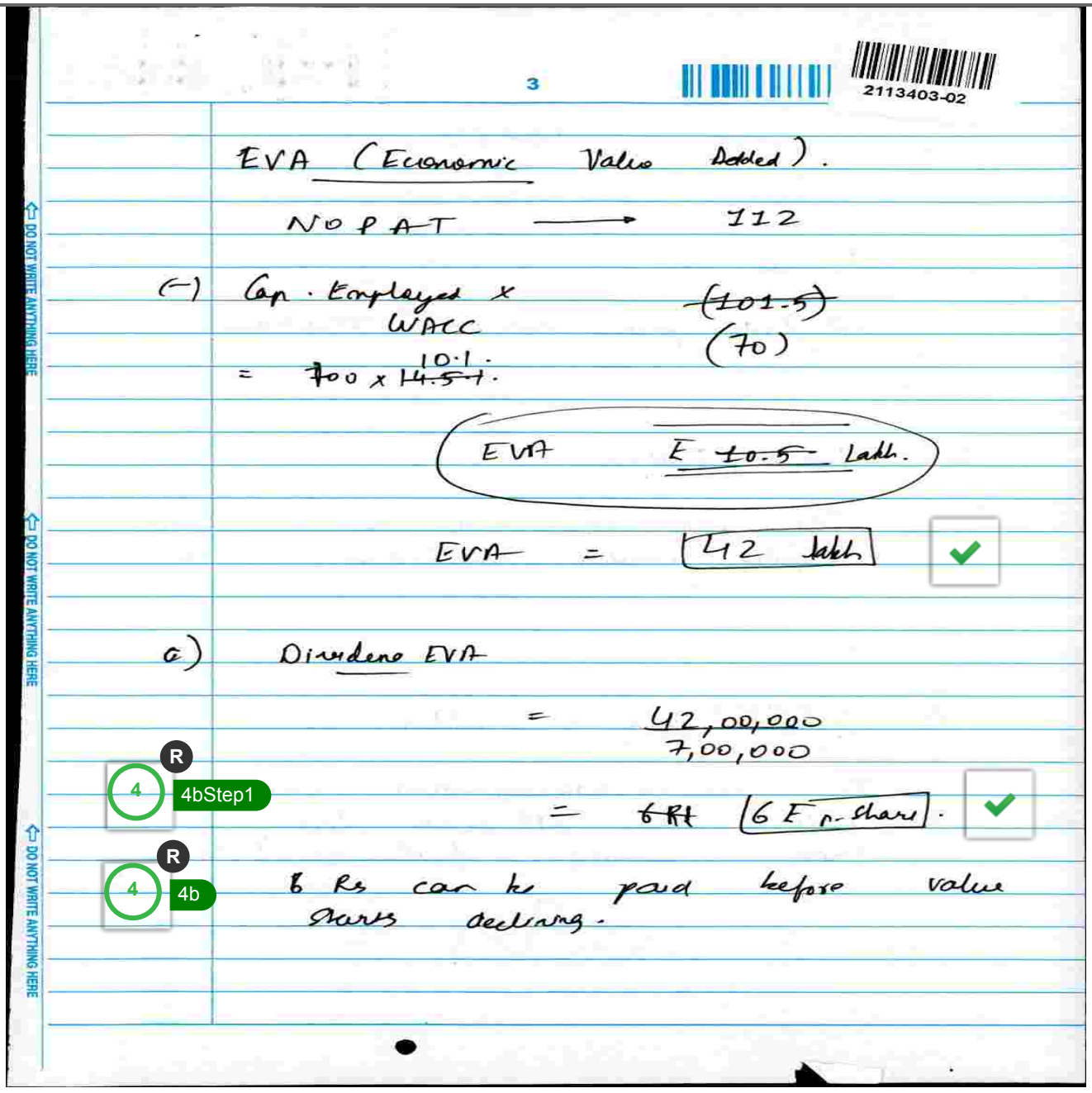
Debt = 400

Total Capital 700

WACC = $\left[\frac{300}{700} \times 14\right] + \left[\frac{400}{700} \times 10 \times 70.\right]$

= 6.1 + 4.1. = ~~14.2~~ 10.1.

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3

2113403-02

EVA (Economic Value Added).

NOPAT ⟶ 112

(-) Cap. Employed × WACC (101.5) (70)

= 700 × 14.5% 10.1.

EVA E 10.5 Lakh.

EVA = 42 lakh ✔

a) Dividend EVA

= 42,00,000 / 7,00,000

= 6 Rs 6 Fr. shares. ✔

R 4 4bStep1

R 4 4b

6 Rs can be paid before value starts declining.

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4

Que - 4

(C)

(1) Resistance

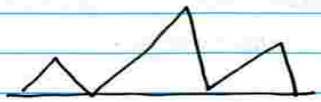
Highest past indicates resistance. ✗

(2). W — Pattern.

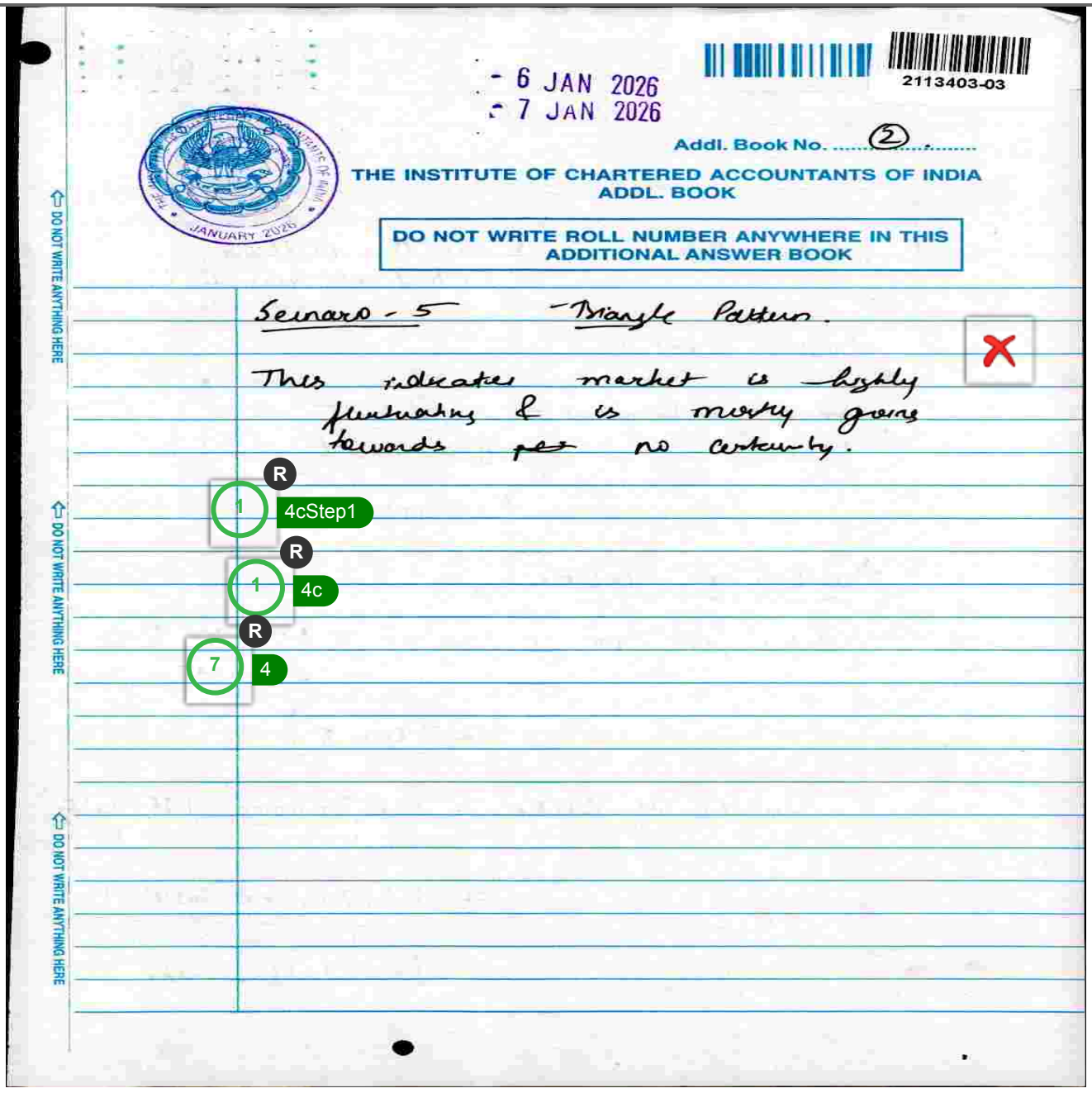
The price rises and then certainly falls creating W Pattern. ✗

(3) ~~Upward~~ Inverse Head & Shoulder. ✓

The price indicates that now below the 3rd peak line, the price would fall considerably



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Scenario - 5 - Triangle Pattern.

This indicates market is highly fluctuating & is merely going towards ~~pes~~ no certainty.

R 1 4cStep1

R 1 4c

R 7 4

2

Que – 5

(b).

Funds raised = $ 14.775 Million.
(Net of transaction).

Cost = 1.5·1.

Amount to be raised = $\frac{14.775}{(100-1.5)\cdot 1.}$

= 15 M.

Number of GDRs.

Value per GDR ₹ = $\frac{7 \times 500 \times 93.1.}{81.375}$

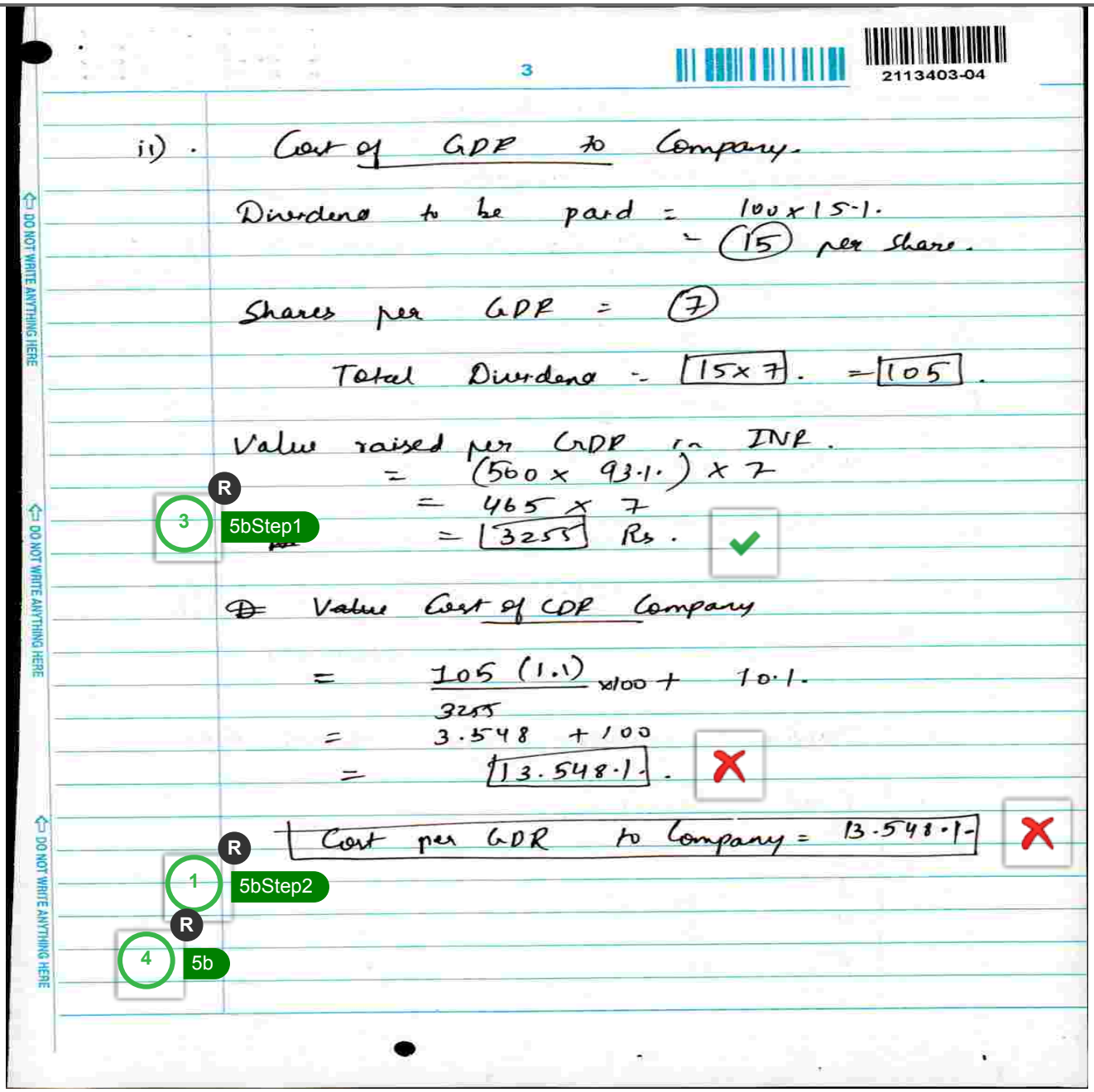
= 40 ₹

Number of GDRs = $\frac{15,00,0000}{40}$ (150 Lakhs).

= 3,75,1000 GDRs

= 3.75 Lakhs GDRs.

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3

2113403-04

ii) . Cost of GDR to Company.

Dividend to be paid = 100 x 15.1.
= (15) per share.

Shares per GDR = (7)

Total Dividend = [15 x 7]. = [105].

Value raised per GDR in INR.
= (560 x 93.1.) x 7
= 465 x 7
= [3255] Rs.

~~D~~ Value Cost of GDR Company

= $\frac{105\ (1.1)}{3255} \times 100 + 10.1.$

= 3.548 + 100

= [13.548.1].

[Cost per GDR to Company = 13.548.1-]

R 3 5bStep1

R 1 5bStep2

R 4 5b

4

Que - 5 (a).

Treynor's Ratio Calculation

Security.	ER	B	$\frac{ER - Rf}{B} = TR$. Treynor Ratio. $Rf = 7.1$.	Rank
A	5	0.5	$\frac{5-7}{0.5} = -4$	(5)
B	25	2.5	$\frac{25-7}{2.5} = 7.2$	(2)
C	15	1.0	$\frac{15-7}{1} = 8$	(1)
D	10	1.5	$\frac{10-7}{1.5} = 2$	(4)
E	20.	1.8	$\frac{20-7}{1.8} = 7.22$.	(3)

Answer (1)

Ranking of Securities basis Treynor Ratio.

Rank	Security
1	C
2	E
3	B
4	D
5	A

R

2 5aStep1

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Security	TR.	(a) TR	(b) β	(c) σ_{ei}^2	(d) $\frac{\sigma_{ei}^2}{\beta^2}$	$\frac{\beta^2}{\sigma_{ei}^2}$	(e) Cumulative $\frac{E\beta^2}{\sigma_{ei}^2}$	axd	Cumulative axd
C	−4	8	1	10	10	0.1	0.1	0.8	0.8
E	7.2	7.22	1.8	18	0.18		0.28	1.2996	2.0796
B	7	7.2	2.5	20	0.3125		0.5925	2.25	4.3496
D		2	1.5	10	0.225		0.8175	1.635	5.9846
A		−4	0.5	25	0.01		0.8275	0.01	5.9946

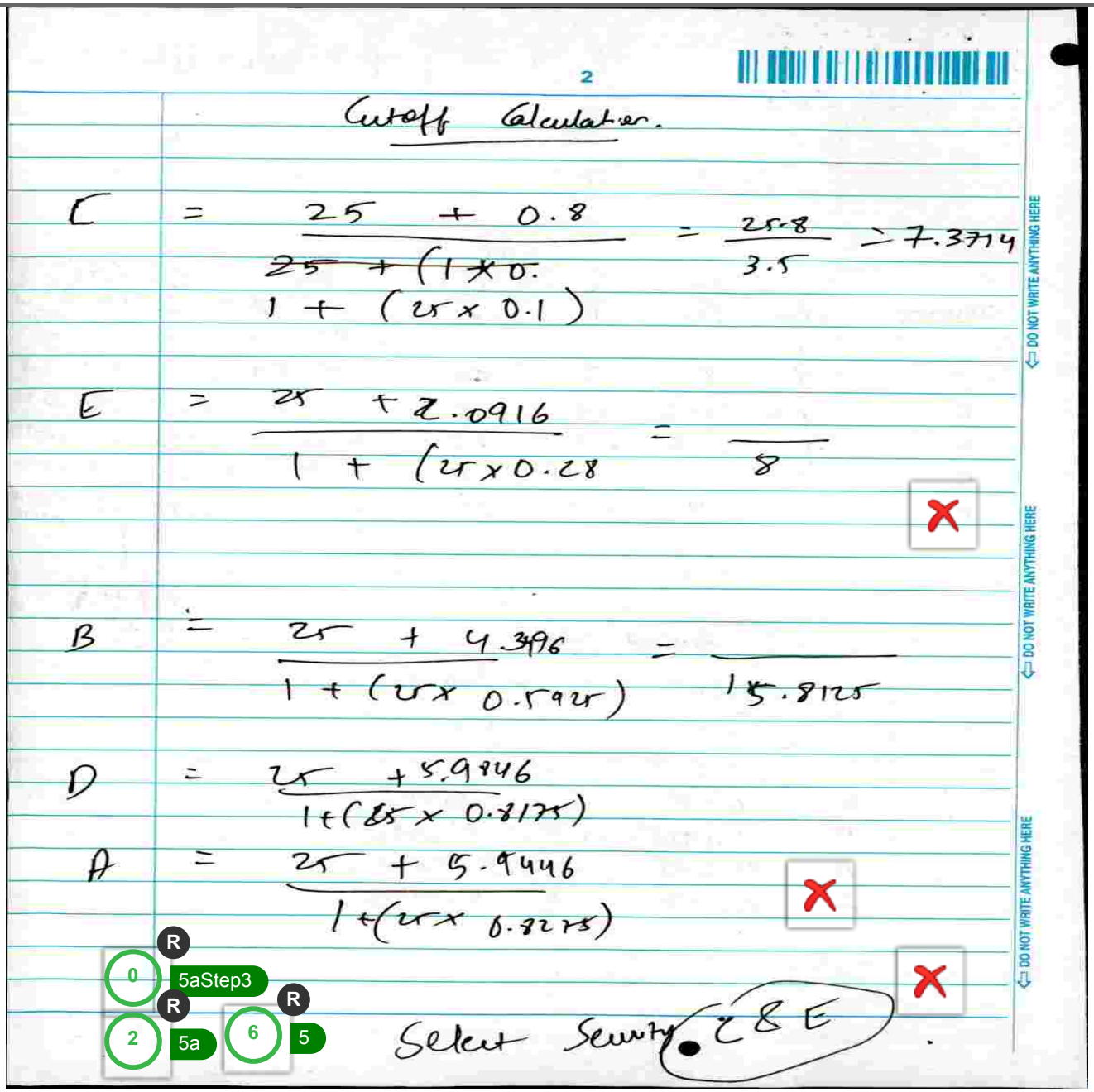
$\frac{E\beta - R_f\beta}{\sigma_{ei}^2}$

Revised value

	$\frac{E\beta^2}{\sigma_{ei}^2}$	$E\left(\frac{E\beta - R_f\beta}{\sigma_{ei}^2}\right)$
C	0.1	0.8
E	0.28	2.0916
B	0.5925	4.3496
D	0.8175	5.9846
A	0.8275	5.9446.

R 0 5aStep2

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2

Cutoff Calculation.

$C = \frac{25 + 0.8}{1 + (25 \times 0.1)} = \frac{25.8}{3.5} = 7.3714$

$E = \frac{25 + 2.0916}{1 + (25 \times 0.28} = \frac{}{8}$

$B = \frac{25 + 4.396}{1 + (25 \times 0.5925)} = \frac{}{15.8125}$

$D = \frac{25 + 5.9946}{1 + (25 \times 0.8175)}$

$A = \frac{25 + 5.9946}{1 + (25 \times 0.8275)}$

Select Security C & E

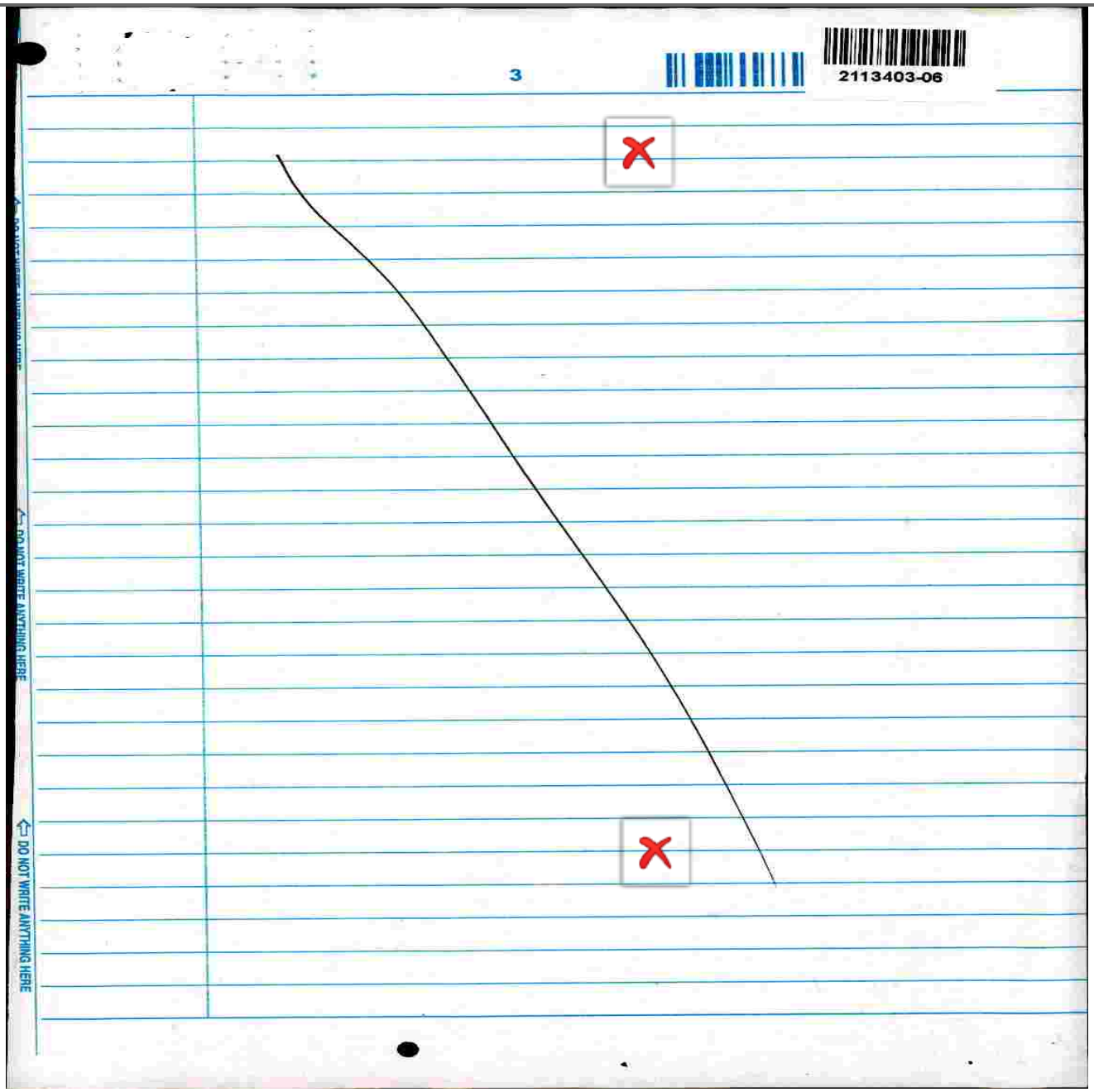
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R 0 5aStep3 R 2 5a R 6 5

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